



TORCH THE CASE



NYU Stern Consulting
Casebook 2013-2014

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Welcome

Welcome to the NYU Stern Consulting Casebook 2013-2014!

The case-based interview is central to the consulting recruitment process. Some will tell you that the case interview is nothing more than a contrived exercise in jumping through hoops, while others will say it is a valuable process that provides great insight into the complex and dynamic world of strategy consulting. Regardless of which camp you fall into, it is indisputable that casing is a skill that, if mastered, will vastly increase your chances of landing a position at a top consulting firm.

The good news is twofold: firstly, it is a learnable skill, and extensive practice and thoughtful learning can get you very far. Secondly, there is a vast array of material available to help you to prepare. The MCA will recommend certain approaches and provide resources to support your learning, and there are many books, articles and websites that offer other perspectives.

A one-size-fits-all approach to casing is impossible. Different people prefer different approaches and everyone has their own strengths and weaknesses to work on. Indeed, the goal of casing preparation is not just to master the basics or any single approach, it is to go a step further and develop a personal style that is adaptable to any situation. You should look for opportunities to differentiate yourself based on your experience and perspective and try to bring something unique to the table that will make a memorable impression.

There are, however, three things that apply universally:

1. Start early. This is a challenge, particularly in the hectic first semester, but it is extremely important. There is no substitute for preparation and casing experience, so make sure to put yourself in the best position to succeed when you get to interviews.
2. Take ownership over the learning process. Drive your own learning, use the materials that suit you, focus on quality as well as quantity, seek insightful feedback from those who know what's required, and be honest with yourself about what you are gaining from each bit of preparation.
3. Aim high. Don't settle for being a competent caser, find a role model who is exceptional and get as close to that standard as you can. Give yourself the chance to truly excel.

Stern has come a long way as a consulting school, and we have every faith that the Class of 2015 will carry that forward.

Good luck!

Acknowledgements

The creation of this book was a collaborative effort building on the hard work of many previous classes. Many thanks to all who contributed, including but not limited to the following:

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We would love to hear your suggestions, corrections and questions. Please contact us: mca@stern.nyu.edu

The following firms provided sample cases for inclusion in Torch the Case 2013-14. We extend our sincere thanks to these firms for their contributions and continued commitment to Stern:

The Deloitte logo, featuring the word "Deloitte" in a bold, dark blue sans-serif font, followed by a small green dot.The McKinsey & Company logo, consisting of the text "McKinsey&Company" in a white serif font, centered within a dark blue rectangular box.The Capgemini Consulting logo, featuring a stylized pink spade icon to the left of the word "Capgemini" in a pink serif font, followed by the word "Consulting" in a pink sans-serif font.

Case 1: EnerForce



- Interviewer Led
- Profitability/Valuation
- Energy



Easy
Normal
Hard

Case Prompt

(to be read to the candidate)

A U.S. energy conglomerate is considering the acquisition of a publicly traded wind turbine manufacturer, EnerForce, with manufacturing locations in China and Vietnam. Should the conglomerate acquire EnerForce?

Interviewer Guide

This case is an interviewer led profitability, valuation and strategy case. The interviewer should take charge with the questions that follow after the candidate has relayed his/her framework. The first two questions are qualitative, while the last two are quantitative. For the quantitative questions the candidate should walk through the necessary calculations in a structured manner.

A strong candidate will quickly interpret the three charts and relate key insights back to the case prompt. Additionally, such a candidate would not only relay a recommendation at the end of a case, but will brainstorm various risks associated with the recommendation. For example, strong candidates will identify that there are competitors in China which may not currently be in the U.S. and European markets and that these competitors represent a significant long-term threat. Other threats associated with the acquisition should also be mentioned by a superior candidate at the end of the case.

Case 1: EnerForce

Continued... (page 2 of 10)

Question #1

When advising on the potential acquisition, which pieces of information would you look to acquire/review? Where would you find these pieces of information?

Sample Response

Response can include the following and interviewer should probe the candidate to relay as comprehensive a list as possible

- Past profitability (from financial statements)
- Financial health of the target (from financial statements)
- Market conditions (from market experts)
- Current product range (from customers and/or target website)
- Target's customer list (from target testimonials or may be public information for utility customers)
- Location of target's plants (most likely public information)
- Tariffs on exports (from government websites)
- Technological specifications (from market experts)
- Target's product pipeline (may not be available but could ask market experts)
- If target is sought by competitors (may not be available but prior bids may have been made public)
- Supply chain (may not be available but client may share some suppliers)
- Revenue and cost breakdown by product (may not be available but could ask market experts)

Case 1: EnerForce

Continued... (page 3 of 10)

Question #2

Can you walk me through the following three charts? What market would you suggest is most attractive for EnerForce's upcoming product, the EnerForce 100 KW Turbine, in the next year? (Show candidate the following three pages at the same time)

Sample Response

Chart 1

- Output and costs are important to Asia
- Aesthetics and output are important to the U.S.
- Size and output are important to Europe
- Durability isn't really important to any market

Chart 2

- Based on what we know about preferences (Chart 1) and ranking on key attributes against competitors (Chart 2), EnerForce's turbine is suitable for both the U.S. and Europe markets
- It is not comparable to competitors in the Asian market
- This could mean that there are competitors in Asia which are not yet in Europe and these competitors could be a threat to EnerForce if they enter

Chart 3

- U.S. and Europe are the biggest markets currently
- U.S. market becomes biggest next year due to growth rates

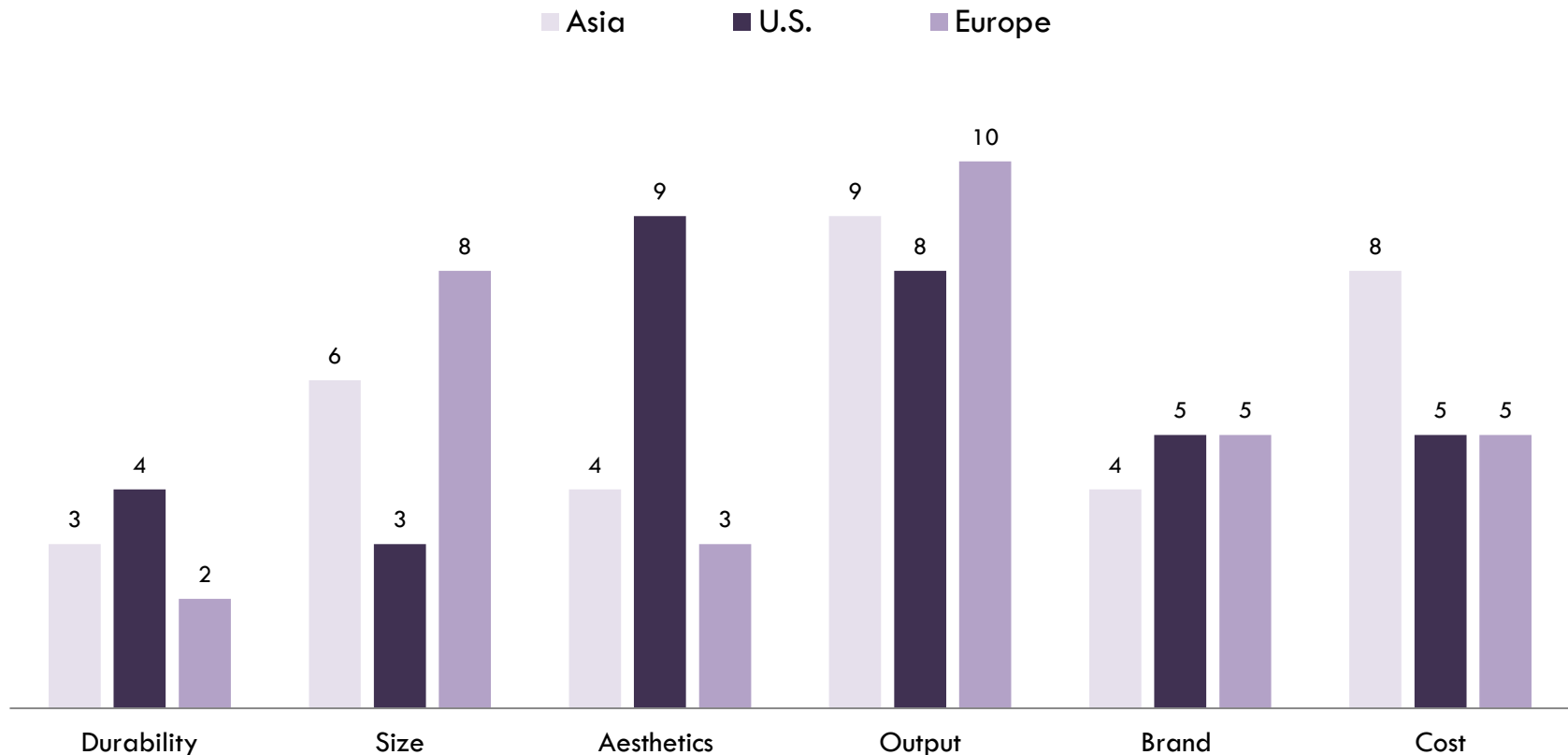
Case 1: EnerForce

Continued... (page 4 of 10)

Chart 1: Customer Survey

(to be handed to the candidate)

Importance of Product Characteristic by Market



Case 1: EnerForce

Continued... (page 5 of 10)

Chart 2: Competitive Landscape

(to be handed to the candidate)

Market	# of Total Competitors	Industry Rank – 100 KW EnerForce Turbine					
		Durability	Size	Aesthetics	Output	Brand	Cost
Asia	9	#2	#6	#7	#4	#7	#7
US	4	#2	#3	#2	#1	#4	#4
Europe	6	#3	#1	#6	#2	#3	#3

Case 1: EnerForce

Continued... (page 6 of 10)

Chart 3: Market Size and Growth

(to be handed to the candidate)

Market	Incremental Yearly Demand (GW)	Projected Annual Growth Rate
Asia	4.5	2%
U.S.	5	9%
Europe	6	-13%

Case 1: EnerForce

Continued... (page 7 of 10)

Question #3

How many units would you predict EnerForce could sell in each of the three markets? Please clearly state your assumptions.

Sample Response

- One possible answer is on the next page
- Candidate should ask for GW to KW conversion ($1 \text{ GW} = 1,000,000 \text{ KW}$)
- Please note that assumptions for market share should be consistent with the # of competitors in each market based on Chart 2, the interviewer should push back if the candidate's market share assumption does not align with the information in Chart 2
- If the interview is running over allotted time, the interviewer can choose to give the candidate the market share information in the sample response below

Case 1: EnerForce

Continued... (page 8 of 10)

Sample Response (continued)

- Chart 3 will allow me to calculate the number of turbines needed in the market next year. Next I will need market share information in order to calculate EnerForce's sales. If we do not have this information, I can deduce it from a combination of Charts 1 and 2
- Since Charts 2 and 3 are in different units, I need to convert current demand in Chart 3 into the number of 100 KW turbines demanded
 - $(4.5 * 1,000,000) / 100 = 45,000$ turbines in the Asian market this year
- Next, I will apply the annual growth rate of 2% to derive demand next year.
 - $4.5K * (1.02) = 45,900$ turbines in the Asian market next year
- I assume EnerForce's market share to be around 10% because as compared to the eight competitors in Asia, EnerForce does not rank highly on attributes valued by Asian consumers
 - $4.59K * 10\% = 4,590$ turbine sales for EnerForce
- Similar analysis should be completed for each of the markets

Market	# of turbines in market this year	# of turbines in market next year	Expected EnerForce turbine sales next year	Note
Asia	45,000	45,900	4,590	Assuming 10% market share
U.S.	50,000	54,500	27,250	Assuming 50% market share
Europe	60,000	52,200	20,880	Assuming 40% market share

Case 1: EnerForce

Continued... (page 9 of 10)

Question #4

Assume plant capacity in China of 2,000 turbines/year and in Vietnam of 3,000 turbines/year, price per turbine of \$100K, and 15% profit margin. Based on this would you move forward with the acquisition. Assume a 10% discount rate. Should EnerForce be acquired for a price of \$700M?

Sample Response

- Assuming the capacity of both plants is maximized, production would be 5,000 turbines/year. Let's assume EnerForce is able to sell all 5,000 turbines/year. We would need to multiply this by \$100K to derive sales revenue. Sales revenue multiplied by the 15% profit margin would give us profit/year. Profit/year divided by the discount rate would give us the projected valuation of EnerForce (assuming this is their only product)
 - $5,000 \text{ turbines/year} * \$100\text{k turbine} = \$500\text{M/year} * 15\% \text{ profit margin} = \75M/year
 - $\$75\text{M}/10\% = \750M value price
 - Acquisition go/no go should be determined via whether the asking price for EnerForce is higher or lower than the derived valuation

Case 1: EnerForce

Continued... (page 10 of 10)

Sample Conclusions & Recommendations

Recommendations

- Acquire EnerForce given a valuation of \$750M and a price of \$700M although an understanding of EnerForce's other products (if any) and assets is most likely necessary prior to acquisition

Risks

- Competitive response: already saw that competitors in Chinese market entering other markets could be a serious threat
- Country specific costs: to reach 5,000/turbines a year would need access to US or Europe; there could be tariffs or there could be quotas in these countries
- Customers: there might not be support in U.S. and Europe for renewables due to the indebtedness of Western governments
- Technology: competitors could develop technology to make EnerForce products obsolete rendering the acquisition overvalued due to the assumption of perpetuity

Case 2: Drug Profitability



- Candidate Led
- Market Sizing
- Pharmaceutical



Easy
Normal
Hard

Case Prompt

(to be read to the candidate)

Our client is a pharmaceutical company that has developed a remedy for female balding. The drug has cleared a lengthy and delayed testing process. The drug will be off patent in five years. Before initiating drug production, the client wants us to determine whether the drug will be profitable and whether or not to go ahead with production.

Interviewer Guide

This is a candidate led go/no go case based on profitability followed by development of a launch strategy. The candidate will be required to make several assumptions, based on little input, in order to estimate the potential market size. The interviewer should direct the candidate to spend more time on revenue than cost. A good candidate will approach the market sizing exercise by looking at both the demand for the product and product affordability. The assumptions are more important than the final values, and the interviewer should challenge the candidate to justify the assumptions made. A superior candidate will bring in other relevant dimensions of market sizing such as consumer awareness or pricing of the product, and will also evaluate to what degree his or her final estimates are reasonable (as is demonstrated in the sample analysis.) A superior candidate will immediately catch that the \$8B spent on testing is a sunk cost. Additionally, a superior candidate will recognize that expenses will vary substantially over the lifecycle of the product, and that market share and price can be impacted by a strong competitor response.

After the candidate has made a go/no go recommendation, he or she will then be asked to review market research related to two possible versions of the product and recommend a launch strategy. This exhibit and question should only be discussed after the candidate completes the market sizing section and gives an overall recommendation. For the launch strategy, the candidate needs only make a recommendation about which formulations to launch and should not revisit other aspects of the case. Given that there are many ways to approach the case, the recommendations may vary and it is possible to “crack the case” with a recommendation that differs from those highlighted in the Sample Conclusions and Recommendation.

Case 2: Drug Profitability

Continued... (page 2 of 8)

Background Information

(to be provided when requested by candidate)

Market

- One comparable substitute currently exists that will divide market share equally with client once client's drug is in market
- Post-patent expiry client's share will shrink to 20% of share pre-patent expiry
- No information on current market size – candidate should be asked to size the overall market and the client's market share
- The candidate should assume that the price of the product is comparable to the substitute at \$2,000/treatment, and that one treatment is needed per year

Costs

- \$ spent on testing: \$8B
- Production: \$1B/year
- Marketing and sales efforts: \$2.5B/year
- Distribution: \$800M/year

Product

- Average woman starts balding at age 40 and between the ages of 30-40 the drug has some preventative benefits
- Starting at 60, even the most effective drugs cannot remedy female balding
- Assume that our drug and current comparable substitute have no comparative advantage over the other (both will charge the same price and split the market)
- Payment for the product is not covered by most health insurance plans

Case 2: Drug Profitability

Continued... (page 3 of 8)

Sample Analysis

- The U.S. population is somewhere around 300 M, while females make up roughly 50% or 150 M of this population
- Not all women will have the same interest for our product. Assuming a life expectancy of 80 years, let's say that women aged 40-80 are largely at risk of balding. Let's start off by saying that roughly 60% of women in this category are interested in our drug
- Let's revise that to be 60% of women between 40 and 60 and 0% of women between 60 and 80 years of age are interested in our drug (if candidate doesn't ask, inform him of the relevant fact stated in the 'information' section of this case)
- Additionally assume that 40% of women between 30 and 40 are also interested in the drug for prevention
- I am going to assume that each 10 year age bracket is evenly distributed
- I am going to revise my 150 M female population upwards to 160 M for ease of calculation

Age bracket	Population	% interested	# interested
0 - 10	20	0	0
10 - 20	20	0	0
20 - 30	20	0	0
30 - 40	20	40	8
40 - 50	20	60	12
50 - 60	20	60	12
60 - 70	20	0	0
70 - 80	20	0	0
Total	160 M		32 M

Case 2: Drug Profitability

Continued... (page 4 of 8)

Sample Analysis (continued)

- 32 M seems a little high, this is likely because the estimate of the % interested should be revised down
 - Let's say that 20% of women aged 30-40 and 30% of women aged 40-60 are interested; this would mean that a total of 16 M women are interested in the product
- With a price tag of \$2,000/treatment, not all of those that are interested in the drug will be able to buy it
- I am going to assume that 60% of the population is middle class while the remainder is evenly distributed at either tail
- In terms of affordability, I will assume that 100% of the upper bracket can buy the drug, 60% of the middle bracket, and 20% of the lower bracket

Income bracket	% total	Total Population	% able to pay	# able to pay
Low	20	3	20	0.6
Middle	60	10	60	6
Upper	20	3	100	3
Total		16 M		10 M

- Given that we will split this market evenly with the comparable substitute, the target population is about 5M
- Expected annual revenue is therefore about \$10B pre-patent expiry
- Given that the market share will shrink to 20% after patent expiry, our client will earn roughly \$2B/year at the current price post-expiry
- Since testing is a sunk cost, total yearly cost is about \$4.3B (*The interviewer should let the candidate know that the \$8B spent on testing is a sunk cost if this item is missed by the candidate*)
- Given these assumptions, the drug is only profitable pre-patent expiry (*assuming constant market sizing and costs*)

Key takeaway: The drug is profitable pre-patent expiration but may not be so after patent expires (post-patent profitability being positive will depend on market sizing and costs)

Case 2: Drug Profitability

Continued... (page 5 of 8)

Sample Conclusions & Recommendations

Recommendations

- Given our assumptions, client should pursue drug production for next five years if the market size allows it to be profitable
- Drug will become less profitable after patent expiry and decision on whether drug production should continue will be determined by the market size and profitability estimation by candidate

Risks

- Estimated marketing costs may not be adequate to educate customers regarding the existence of this product
- Analysis needs to factor in the competitive response of the comparable product that exists in market today, particularly if the product has a lower cost structure, and can therefore be sold at a lower price
- If the competitor's product goes off-patent in under 5 years, the client's drug will likely lose market share or be forced to lower the price
- Given that the market appears very attractive and the need is relatively unmet (only 2 products), other products might enter the market

Other

- The client can continue production after patent expiry if they can lower price to gain market share profitably
- Candidate may recognize that the calculations assume constant costs of production, marketing and distribution; these costs will vary substantially based on the volume produced, scope of promotion, etc.
- May be worthwhile to look at international markets where testing in the U.S. would be readily accepted, or other U.S. market segments (e.g., men, hair regrowth)

Case 2: Drug Profitability

Continued... (page 6 of 8)

Question

Based on the results from clinical trials, the client received approval for the product in two different formulations:

- Formulation 1:
 - Once-daily application
 - Less effective
 - Lower price
- Formulation 2:
 - Twice-daily application
 - Most effective
 - Higher price

The client conducted market research among customers of different ages. Using the results of this research, formulate a market entry strategy and recommend which formulation the client should launch.

Sample Response

- There is no single right answer; candidates should interpret the graph to match the different formulations to the correct customer segments, and then decide on a strategy, indicating rationale and potential risks
 - Formulation 1 appears better suited to customers aged 40-50 and 50-60, because of their focus on convenience and cost
 - Formulation 2 would be preferable for customers aged 30-40, whose focus is on effectiveness
- The older demographic form a larger potential market, so formulation 1 may be preferable
- Conversely, younger consumers may use the product over a longer period of time resulting in greater lifetime value
- The candidate can recommend the launch of either formulation or potentially both
 - Launching both formulations presents significant challenges for differentiated branding, cannibalization and allocation of limited marketing and sales resources

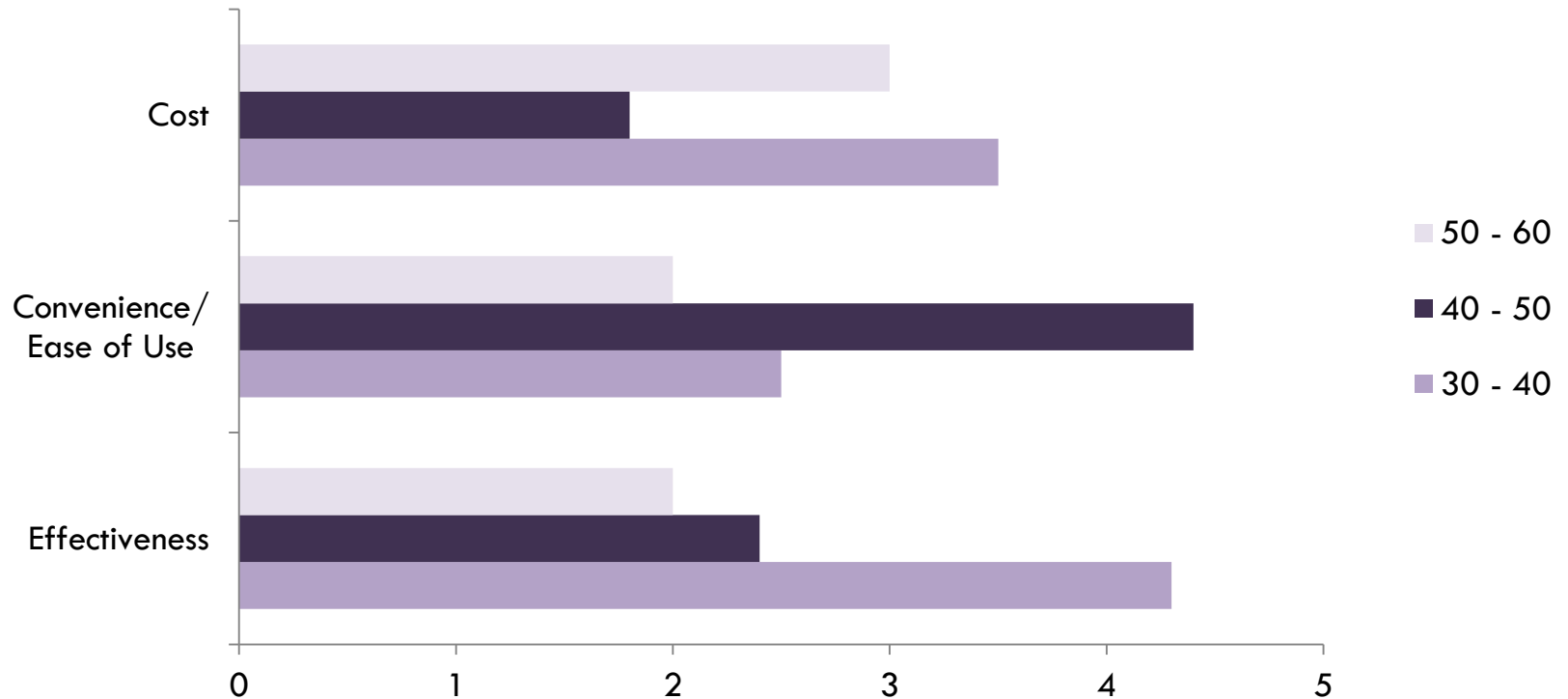
Case 2: Drug Profitability

Continued... (page 7 of 8)

Chart 1: Customer Survey

(to be handed to the candidate)

Importance of Product Characteristic by Age Cohort



Case 2: Drug Profitability

Continued... (page 8 of 8)

Sample Recommendations

Recommendations

- Given that primary market for this product will be women aged 40+, the client should produce formulation A
- The product branding strategy should focus on once-a-day convenience, and be marketed primarily to women aged 40-50
- The client should not pursue both formulations at launch, as this might confuse branding to customers and divide limited marketing resources

Risks

- There is a large difference in price-sensitivity between ages 40-50 and 50-60
- This strategy may cause the client to lose out on a segment of the population which is younger and would be willing to pay more for better results

Other

- Post-launch, once the brand has a solid base, the client may want to consider launching the second formulation as a “premium” or “extra-strength” alternative, offered at a mark-up

Case 3: Regional Jet Market



- Interviewer Led
- Industry Analysis
- Airlines



Easy
Normal
Hard

Case Prompt

(to be read to the candidate)

While the market for long-haul jet manufacturers is a duopoly between Boeing and Airbus, the market for regional jet manufacturers is currently a duopoly between Bombardier of Canada and Embraer of Brazil. However, the market appears to be in for a period of transition due to at least two new entrants, Competitor “R” of Russia and Competitor “C” of China. What do you think will happen to the international market for regional jet manufacturers in the next five years?

Interviewer Guide

This case is an interviewer led current and future “state of the industry” case. The interviewer should take charge with the questions that follow once the candidate relays his or her framework. The interviewer should provide the candidate with all the charts at once. The candidate should pick and choose the charts that are relevant to answer each question. This case ends with the final question and there is no need to ask for a final recommendation.

A strong candidate will be able to swiftly pick the information from charts that is required to respond to the various questions. If the candidate is taking too long the interviewer can refer the candidate to the specific chart that contains the required information.

Case 3: Regional Jet Market

Continued... (page 2 of 9)

Question #1

What advantages and disadvantages would you expect Russian and Chinese jet manufacturers to have compared to their competitors?

Sample Response

Response can include the following. Interviewer should probe the candidate to go beyond these lists. Interviewer should be looking for the candidate's ability to draw on his/her general business acumen to develop these lists. Additionally the candidate should put some structure to the response. A basic structure is to talk through advantages first, and then move to disadvantages.

Advantages

- State backing
- Lower cost of production
- Access to home markets which may be growing faster than developed markets

Disadvantages

- Poorer reputation for safety
- Trouble with certification in developed countries
- Lack of R & D strength

Case 3: Regional Jet Market

Continued... (page 3 of 9)

Chart 1: Capacity (# of jets)

(to be handed to the candidate)

	2013	2014	2015	2016	2017
Bombardier	100	100	100	100	100
Embraer	90	90	90	90	90
R	60	60	60	60	60
C	100	100	100	100	100

Chart 2: Projected Annual Demand (# of jets)

(to be handed to the candidate)

	2013	2014	2015	2016	2017
Bombardier	100	105	105	100	100
Embraer	70	75	85	75	90
R	5	40	50	50	50
C	10	20	30	35	50

Case 3: Regional Jet Market

Continued... (page 4 of 9)

Chart 3: Cost Breakdown (\$B)

(to be handed to the candidate)

Cost breakdown at full capacity	Bombardier	Embraer	R	C
Labor	1	0.6	0.9	0.75
Parts	1.5	1.2	0.6	0.5
SG&A	1.2	1.2	0.5	0.75
Advertising	1.3	1.05	0.9	1
Total	5	4.05	2.4	3

Case 3: Regional Jet Market

Continued... (page 5 of 9)

Question #2

What is the CAGR for demand in the overall market between 2013 and 2016?

Sample Response

- Candidate should use Chart 1
- Candidate does not need to do out the math but interviewer should make sure the problem is set up correctly by candidate
- CAGR is $((\text{Ending Value} / \text{Beginning Value})^{1/\# \text{ of years}}) - 1$
- Calculation
 - $260/185 = 1.405$
 - $1.405^{.333} = 1.12$
 - $1.12 - 1 = 0.12$
 - CAGR is approximately 12%

Case 3: Regional Jet Market

Continued... (page 6 of 9)

Question #3

What is the expected cost per plane for each of the manufacturers in 2014?

Sample Response

- Candidate should use Charts #1 and #2
- Candidate should recognize that labor and parts are variable costs and should be allocated as a percentage of full capacity
- SG&A and Advertising should be fully allocated
- Candidate should recognize that a manufacturer cannot produce more than its capacity

Variables	Source (given in case unless stated)	Bombardier	Embraer	R	C
Labor	$(\text{demand})/(\text{capacity}) \times (\text{Cost})$	1	0.5	0.6	0.15
Parts	$(\text{demand})/(\text{capacity}) \times (\text{Cost})$	1.5	1	0.4	0.1
SG&A		1.2	1.2	0.5	0.75
Advertising		1.3	1.05	0.9	1
Total (\$B)	(labor) + (parts) + (SG&A) + (advertising)	5	3.75	2.4	2
Cost per plane (\$B)	(total cost)/(annual demand)	0.05	0.05	0.06	0.1

Case 3: Regional Jet Market

Continued... (page 7 of 9)

Question #4

What is the expected cost per plane for each manufacturer in 2017?

Sample Response

- Candidate should use Charts 1 and 3
- The candidate should sum up cost at full capacity for each manufacturer (chart 3)
- The candidate should then divide this by the number of planes at capacity (chart 1) to obtain cost per plane

Variables	Source (given in case unless stated)	Bombardier	Embraer	R	C
Labor	$(\text{demand})/(\text{capacity}) \times (\text{Cost})$	1	0.6	0.75	0.375
Parts	$(\text{demand})/(\text{capacity}) \times (\text{Cost})$	1.5	1.2	0.5	0.25
SG&A		1.2	1.2	0.5	0.75
Advertising		1.3	1.05	0.9	1
Total (\$B)	(labor) + (parts) + (SG&A) + (advertising)	5	4.05	2.65	2.375
Cost per plane (\$B)	(total cost)/(annual demand)	0.05	0.045	0.053	0.0475

Case 3: Regional Jet Market

Continued... (page 8 of 9)

Question #5

What can you interpret from the current and future cost per plane of the Chinese and Russian competitors?

Sample Response

- Currently, the new entrants cannot compete on a cost per plane basis due to a lack of demand necessary to sufficiently amortize fixed costs
- It may be possible that their governments are providing subsidies and tax breaks that are not being taken into account
- By 2017, their cost per plane is much more in line with the current market conditions

Question #6

Assume you are advising Bombardier. They are considering entering the larger long-haul jet market to fuel bottom-line growth. What are the risks with this strategy?

Sample Response

- Saturated market
- Need to develop different technology
- Competitive response (perhaps Airbus or Boeing enter regional jet market)
- Capacity constraints

Case 3: Regional Jet Market

Continued... (page 9 of 9)

Question #7

What do you see being the drivers of demand for future growth in the airline manufacturing industry?

Sample Response

- New technology
 - Fuel efficiency
 - Range
 - Safety
- New regulations
 - Existing planes are retired quicker
 - Environmental regulations
 - Subsidies to make any part of the air travel value chain cheaper
 - Subsidies for airplane manufacturing
- New demand
 - Customers from emerging countries having more disposable income
 - Increase in the price of substitutes such as trains
 - General economic growth causing more consumption from developed countries

Case 4: Silverado



- Interviewer Led (Primarily)
- Turnaround Strategy
- Retail/Manufacturing



Easy
Normal
Hard

Case Prompt

(to be read to the candidate)

Your client, Silverado, is a manufacturer of silverware that is sold to households and restaurants. The company has been in the industry for over 80 years and has a very strong brand name. Silverado has experienced declining revenue growth for the past 5 years. Silverado's CEO would like to understand why this is the case and how the company can restore its previous levels of growth.

Interviewer Guide

This is a case that the candidate will need to lead with the use of some directive questioning. The goal is to determine the cause of declining growth and provide suggestions to restore growth. Guide the candidate to begin with exploration of market size and Silverado's market share relative to competitors.

A strong candidate will quickly interpret the Revenue and Growth charts and recognize that the primary reason for slowing growth is that the market is maturing. The candidate should also be able to generate additional hypotheses regarding declining revenue growth if asked. A superior candidate will use estimated % growth rates for luxury vs. generic silverware to support their claim that growth in generic silverware is slowing, perhaps due to market saturation. The candidate should also benchmark the growth associated with additional revenue from a price change in the luxury market with historical revenue growth rates. A superior candidate will recognize though that the increase in revenue due to price will only improve the growth rate for one year, after which it will return to the lower rates. At the conclusion, the candidate should brainstorm other creative ideas to grow revenue such as introducing a middle tier product line or via an acquisition.

Case 4: Silverado

Continued... (page 2 of 7)

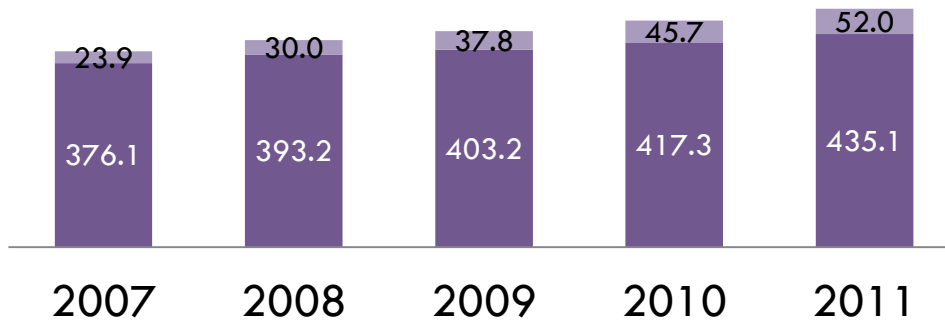
Information

(to be handed to the candidate when requested by candidate)

Market share and growth trends

Annual Revenues in Millions of Dollars

■ Competitors ■ Silverado



	'07	'08	'09	'10	'11
Competitor (\$M)	376.1	393.2	403.2	417.3	435.1
Silverado (\$M)	23.9	30	37.8	45.7	52
Market total (\$M)	400	423.2	441	463	487.1
Silverado annual growth (%)		26	26	21	14

Case 4: Silverado

Continued... (page 3 of 7)

Question #1

What are some potential reasons as to why Silverado's revenue growth is declining despite increasing market growth?

Sample Response

- Overall market is mature, with very low growth which is only likely to decline further in the future
 - Although Silverado's growth is slowing, it is still outpacing the market
 - Any gains in excess of the market are zero sum gains from competitors
- Silverado's market share has nearly doubled since 2007 and this growth is unsustainable
 - Increased competition is making it more difficult for Silverado to grow market share
 - Incumbent competitors are likely to retaliate and price war may be causing Silverado to lower prices or lose market share

Case 4: Silverado

Continued... (page 4 of 7)

Information

(to be handed to the candidate)

Products

- Silverado has been selling luxury silverware for many years
- 5 years ago, Silverado created a new division and started selling generic brand silverware

Revenue and cost by product mix

	Price per unit	Units sold	COGS
Luxury	\$150	180,000	13,770,000
Generic	\$25	1,000,000	19,750,000

Units sold

	'07	'08	'09	'10	'11
Luxury	148,086	155,491	163,265	171,429	180,000
Generic	66,667	266,667	533,333	800,000	1,000,000

Case 4: Silverado

Continued... (page 5 of 7)

Question #2

Please interpret the market and revenue/cost charts.

Sample Analysis

- Growth in generic segment is slowing down as market matures
- Gross margin in luxury segment is more than twice the gross margin in generic segment
 - $\text{Gross margin} = (\text{revenue} - \text{cogs}) / \text{revenue}$
 - Luxury revenue = $150 * 180,000 = \$27\text{M}$
 - Generic revenue = $25 * 1,000,000 = \$25\text{M}$
 - Luxury gross margin = $(\$27\text{M} - 13.77\text{M}) / (27\text{M}) = 49\%$ or $\sim 50\%$
 - Generic gross margin = $(\$25\text{M} - 19.75\text{M}) / (25\text{M}) = 21\%$ or $\sim 20\%$

Background Information

(To be provided after candidate has responded to question #2)

Competitive landscape

- Several new competitors with massive overseas production resources have entered generic market and are meeting excess demand
- Other competitors are entering and building brand recognition within the lower end market

Capacity

- Company's manufacturing capacity has not been able to keep up with demand for generic products
- Research indicates it will take more than 2 years before Silverado can access factories overseas

Case 4: Silverado

Continued... (page 6 of 7)

Background Information

Customer

- People are willing to spend more for expensive food and kitchenware
- Brand loyalty in the luxury segment takes years to develop
- Willingness to pay details (to be provided when the candidate starts focusing on product pricing)

Price (\$)	Quantity (in thousands)
180	170
210	160
240	150
270	130
300	100

Sample Analysis

- Demand for luxury silverware is rather inelastic
- Total Revenue is highest at a price of \$240 (\$36M), this is determined by calculating total luxury revenue at all possible prices
- Increased revenue = $(\$240 * 150,000) - (\$150 * 180,000) = \$9M$
- Growth rate next year (solely due to price change) = $\$9M / \$52M = \sim 17\%$

Case 4: Silverado

Continued... (page 7 of 7)

Sample Conclusions & Recommendations

Recommendations

- The market is mature, so growth will continue to slow without a new revolutionary product or external market shift
- As a result, the client should not realistically expect to realize the same rapid growth again as it has in the past
- Client can generate substantial revenue growth by increasing the price to \$240 (per unit) for luxury product segment, but this change will only inflate growth for one year and will be below peak growth rates over the last 5 years

Risks

- Inaccuracy of price elasticity report (may lose more customers)
- Cost of additional capacity necessary for increasing generic output may not be economical
- Saturation of generic portion of the market may cause generic margins to go down
- Overall market growth for silverware may slow further, putting additional pressure on growth targets for Silverado

Other

- Increasing the price for the luxury segment is only a one-period solution for raising growth rates (by the next year growth will stabilize back at lower levels)
- Given the wide price difference between luxury and generic segments, Silverado can consider creating a middle tier product brand to capture this segment
- Silverado may want to consider acquisitions to restore previous revenue growth rates
- Given strong brand equity, Silverado may wish to explore other higher growth adjacent markets (e.g., cooking ware, appliances) where it can leverage the brand name

Case 5: A Sticky Paper Situation



- Candidate Led
- Strategy/Reinvestment
- Paper and Pulp



Easy
Normal
Hard

Case Prompt

(to be read to the candidate)

Your client is PaperCo, a manufacturer of specialty papers which are sold to commercial printers in the US. PaperCo produces self-adhesive sheeted papers that are ultimately used in a variety of labeling applications – often, eventually, to service CPG firms and for billboards. PaperCo's operations are profitable, but the business has failed to grow over the past few years. The client would like to invest in the business to restore growth and you have been asked to identify opportunities.

Interviewer Guide

For most candidates this case will be primarily focused on reaching and working through the math, leaving little time for high-level strategy. The difficulty of this case lies in feeling comfortable with the relatively obscure product/industry and in obtaining the right information to make the necessary profitability and ROI (return on investment) calculations. There are some key pieces of information which the candidate will need to obtain in order to head in the right direction. If they struggle to ask the right questions to get that information then you can guide them to the right place. Your choice about how strict to be in giving up this information will make a big difference to the difficulty of the case.

The candidate may choose to clarify objectives upfront (this would be wise on his/her part). If so, to make the case easier you can specify that the primary objective is ROI, or to test the candidate you can ask them to choose a suitable objective instead, or simply say that it is not specified, encouraging them to use their judgment.

For the ROI calculation the candidate will be comparing a fixed cost to an annual return. They therefore need to choose a time horizon. If asked, tell them to calculate ROI over 1 year.

Case 5: A Sticky Paper Situation

Continued... (page 2 of 6)

Background Information

(to be provided when requested by candidate)

Products and Pricing

- Raw materials for the products include rolls of paper, adhesives, and a non-stick coating. They are then layered. Finally, they are cut to specification for the customers – this process is called “sheeting”
- The client has a range of products that is broadly the same for all customers and that it does not wish to change
- Margins are acceptable, but management is averse to price-cutting because of a fear of initiating a war with competitors that would leave everyone worse off
- Unit price differs according to customer segment (given in next section)

Market / Customers

- PaperCo sells to 24,000 commercial printers in the US (20,000 are small, 3,000 medium and 1,000 large)
- The company has 30% market share in the small printer segment and 10% in the medium and large printer segments
- Your team-mates recently completed a study that showed that if PaperCo expanded production it could increase sales to the medium-sized or large-sized printer segments by 20% (*Note to interviewer: The candidate should be clear about the difference between increasing sales by 20% and increasing market share by 20 percentage points. The former is correct. The latter would constitute a 200% increase in sales*)
- Printers (the customers) prefer to receive the product in different forms according to the size of the customer:
 - Small prefer boxes
 - Medium prefer cartons
 - Large prefer pallets
- The client’s current sales volumes to each customer segment are given in the next section

Case 5: A Sticky Paper Situation

Continued... (page 3 of 6)

Background Information (Continued)

(to be provided when requested by candidate)

Company/Costs

- The company has the capability to expand production
- Any additional production would require an increase in the client's fixed costs (e.g. new packaging equipment, expanded facilities, increase in permanent labor force). The amount of the increase differs according to distribution method:
 - An expansion in *carton* distribution capacity would constitute a one-off cost of \$675K (for medium printer segment)
 - An expansion in *pallet* distribution capacity would constitute a one-off cost of \$1.3M (for large printer segment)
- Variable costs consist of materials, sheeting, coating and packaging.
- Unit costs differ according to customer segment (given on the following page)

Industry

- This is a mature industry, with low growth across the board
- There are no significant competitive or regulatory trends in the industry to be aware of

Case 5: A Sticky Paper Situation

Continued... (page 4 of 6)

Sample Analysis

(not to be shown to candidate)

Profitability for each customer segment:

- The case requires the candidate to choose the best investment. To do this they need to compare the cost of the investment to the potential return. In order to calculate the return (i.e. the additional profit generated by the investment) they need to know current profitability, which they can deduce using the information below
- N.B. if the candidate has already identified that the growth opportunities lie in the medium and large printer segments they should not waste time determining the profitability of the small printer segment

Variables	Source (given in case unless stated)	Small	Medium	Large
Unit price		\$20	\$18	\$15
Materials cost		\$5.5	\$5.5	\$5.5
Coating cost		\$1	\$1	\$1
Sheeting cost		\$0.5	\$0.5	\$0.5
Packaging cost		\$3	\$2	\$1
Profit per unit	(unit price) – (all costs)	\$10	\$9	\$7
Number of customers		20,000	3,000	1,000
Annual unit usage per customer		100	500	3,000
Total annual profit	(unit profit) x (# of customers) x (annual usage)	\$20M	\$13.5M	\$21M

Case 5: A Sticky Paper Situation

Continued... (page 5 of 6)

Sample Analysis

(not to be shown to candidate)

ROI for medium and large segments:

- Get the total available profit in the market (previous slide) and consider the additional profit from the production expansion
- Finally, account for the cost of getting the extra capacity to supply the additional customers

Variables	Source (given in case unless stated)	Medium	Large
Total annual profit	Calculated on the previous page	\$13.5M	\$21M
Additional annual sales with expansion		20%	20%
Additional annual profit	(total profit) x (additional sales %)	\$2.7M	\$4.2M
Cost of capacity expansion (one-off)		\$675K	\$1.3M
Additional profit net of expansion (year 1)	(additional profit) – (cost of capacity expansion)	\$2.025M	\$2.9M
Return on investment (1-year horizon)	(net additional profit) / (cost of investment)	3	2.23

Key Takeaway: 1-year ROI is greater for the medium sized printer segment

- *Stronger candidates will note that over a longer time horizon the large printer segment generates a bigger ROI. Candidates may even choose to calculate the exact time period over which the large segment starts to have a greater ROI, although this is definitely not required)*

Case 5: A Sticky Paper Situation

Continued... (page 6 of 6)

Sample Conclusions & Recommendations

Recommendations

- The client should expand production in the medium size printer segment, as this generates the largest ROI over the client's preferred time horizon (1-year); the ROI available is very attractive from an investment standpoint
- Additionally, the smaller cost of expansion in the medium printer segment means a reduced financing need and a resulting diminished risk from the investment
- The client can also consider expansion into the large size printer segment at a later date (depending on capacity)
- If the client considers a longer time horizon for its ROI calculation the large printer segment may become more attractive

Risks

- These recommendations are based on no growth on the markets, expansion in one or the other could tip the balance
- There is no information regarding competitive response, but given the aggressive assumptions regarding increased sales it is reasonable to assume there would be one

Other

- This segment of the specialty paper market seems to be fairly stable and mature, thus the assumption of no growth, hence it would probably be wise to look for opportunities outside its core products
- Producing products downstream in the paper industry could reveal attractive opportunities as well

Case 6: Sports Bar



- Candidate Led
- Profitability
- Food Services



Easy
Normal
Hard

Case Prompt

(to be read to the candidate)

Your client is an entrepreneur looking to invest in a new bar. He needs to determine how profitable the company will be and convince his primary investor, his father, that it will be a viable business.

What factors would you consider and investigate?

Interviewer Guide

This case is math intensive so the candidate will need to stay organized. A great caser will lay out a chart with all the data and calculations as well as talk through the calculations to keep the interviewer apprised of his or her thought process. By the end of the case, the candidate should make a clear recommendation as to how the primary investor can be convinced it is a viable business. He/she should approach it from an investment perspective and analyze the profitability of the business, along with any risks that aren't discussed. The total profitability should be framed in the context of other possible ways the father could invest his money. The final recommendation may also be accompanied by ways to improve the existing business plan such as tapping other sources of revenue(jukebox, advertising) or following a different operating model (food vs. drinks).

Case 6: Sports Bar

Continued... (page 2 of 7)

Background Information

(to be provided when requested by candidate)

Profitability

Revenues:

- The average customer spends \$15 on food per visit
- The average customer spends \$20 on drinks per visit
- Capacity constraints and benchmarking should also be discussed here

Costs:

- Lease cost is \$10,000 per month
- Labor costs can be seen to the right/below
- COGS: Food costs are 80% of revenues
- COGS: Drinks costs are 50% of revenues
- There is no specific data on utilities, legal, insurance, licenses, training, remodeling, equipment, and other startup costs

Labor Needs

	# of people	Pay Rate
Kitchen	4 (when open)	\$10/hour
Bar	1	\$5/hour
Waitresses	3	\$5/hour

Competitive Research

Hours	Sunday – Wednesday	
	Food Customers	Drinks Customers
12pm – 8pm	10 customers/hour	4 customers/hour
8pm – 12am	4 customers/hour	15 customers/hour

Hours	Thursday – Saturday	
	Food Customers	Drinks Customers
12pm – 8pm	15 customers/hour	5 customers/hour
8pm – 2am	5 customers/hour	20 customers/hour

Case 6: Sports Bar

Continued... (page 3 of 7)

Sample Analysis

(not to be shown to candidate)

The candidate should determine the # of orders per week as an intermediate step to determining profitability:

Variables	Source (given in case unless stated)	Sunday - Wednesday		Thursday – Saturday	
		Food	Drinks	Food	Drinks
Day orders per hour		10	4	15	5
Day time hours		8 (12pm-8pm)	8 (12pm-8pm)	8 (12pm-8pm)	8 (12pm-8pm)
Day time orders	(hours) x (orders per hour)	80	32	120	40
Night orders per hour		4	15	5	20
Night hours		4 (8pm-12am)	4 (8pm-12am)	6 (8pm-2am)	6 (8pm-2am)
Night orders	(hours) x (orders per hour)	16	60	30	120
Total daily orders	(night) + (day orders)	96	92	150	160
Days per week		4	4	3	3
Total weekly orders	(days) x (daily orders)	384	368	450	480
Total weekly food orders	834				
Total weekly drink orders	848				

Case 6: Sports Bar

Continued... (page 4 of 7)

Sample Analysis

(not to be shown to candidate)

Profitability calculation (continued):

Variables	Source (given in case unless stated)	Food	Drinks	Calculations
Price		\$15	\$20	
Weekly orders	Previously calculated	834	848	
Weekly revenue	(price) x (weekly orders)	\$12,510	\$16,960	\$29,470
COGS		80%	50%	
Weekly COGS	(% cost) * (weekly revenue)	\$10,008	\$8,480	\$19,488

Variables (** - calculation required)	Source (given in case unless stated)	Kitchen	Bar	Waitresses
Salary per hour		\$10	\$5	\$5
# people		4	1	3
Sunday – Wednesday hours	(4 days x (12pm-12am))	48	48	48
Thursday – Saturday hours	(3 days x (12pm-2am))	42	42	42
Total labor cost	(salary) x (total hours)	\$3,600	\$450	\$1,350
Total weekly labor cost	\$5,400			

Case 6: Sports Bar

Continued... (page 5 of 7)

Sample Analysis

(not to be shown to candidate)

Profitability calculation (continued)

Variables (** - calculation required)	Source (given in case unless stated)	Calculations
Weekly revenue	Previously Calculated	\$29,470
Weekly COGS	Previously Calculated	\$19,488
Weekly labor	Previously Calculated	\$5,400
Weekly lease cost (assume 4 weeks/month)		\$2,500
Weekly Profit	(revenue) – (COGS) – (labor) – (lease)	\$2,082
Weeks per year	Assumed	50
Annual Profit	(% cost) x (weekly revenue)	\$104,100

Key Takeaway: Business is not projected to lose money but cost assumptions may be incomplete

Case 6: Sports Bar

Continued... (page 6 of 7)

Question

Your client estimates that the start-up capital needed to open the Sports Bar (e.g., renovations, equipment, licenses) is \$500K. How long will it take for the business to break even? Over a 5-yr period, what would be the return on this investment? (Assume no interest)

Sample Analysis

Break-even calculation

Variables (** - calculation required)	Source (given in case unless stated)	Calculations
Up-front costs		\$500,000
Annual profit	Previously Calculated	\$104,100
Break-even Point**	(up-front costs)/(annual profit)	4.8 years
5-year ROI**	$\frac{((\text{annual profit}) * (5 \text{ years}) - (\text{up-front costs}))}{(\text{up-front costs})}$	4.1 %

Return on Investment (ROI)

- The client's father would have to compare this opportunity against other potential investments
 - 4.1% at the end of 5 years
 - Over the 5-yr period, less than 1% return per year
- Although calculations indicate that the business can be profitable, the margin is rather small relative to the initial investment required
- Given these results, the client's father could likely find another investment opportunity with a faster payback period and higher ROI

Case 6: Sports Bar

Continued... (page 7 of 7)

Sample Conclusions & Recommendations

Recommendations

- From a financial perspective, the sports bar is profitable, but should be compared to other ways the father can invest his money and when he is expecting a return
- The recommendation should focus on convincing the primary investor (his father) that it will be a viable business with strong returns in the long-term

Risks

- There are other costs that have been excluded from this case that will need to be properly calculated in more detail and include:
 - Utilities
 - Marketing and promotions
- Location could also be an important factor in determining the success of the bar compared to competitors
- Other risks include sudden rise in COGS (food shortage), increase in minimum wages, or decrease in customers after a few months

Other

- Perhaps there are opportunities to achieve better economies of scale in with the current mix of food/drinks on the menu and current hours of operation
- In order to shorten the break-even period, the client investigate substitutes for the fixed start-up costs, such as purchasing used equipment or a less significant interior redesign
- Over time, if the business is successful in building a unique brand and customer loyalty, it may be possible to charge higher margins

Case 7: Botox



- Candidate Led
- New Product Launch
- Pharmaceutical



Easy
Normal
Hard

Case Prompt

(to be read to the candidate)

The maker of Botox is considering expanding to the migraine market and has already begun clinical trials in this area. The product is expected to receive FDA approval in 2016. Your team has been hired to assess the viability of this product for launch. How will you determine if the market is attractive? If the market is attractive, do you have any recommendations regarding how to launch the product? What concerns should the client take into consideration before deciding to launch. At the conclusion of the project you will need to present your team's recommendation and rationale.

Interviewer Guide

This is a candidate led case with 3 key components: 1) A high-level market sizing exercise for the migraine market, that will involve estimating the potential size of the target population, 2) An assessment of the considerations for launching Botox in a new indication, targeting a new therapeutic area, 3) A recommendation and report-out summarizing conclusions from the analysis. The candidate should create a structured approach to respond to the prompt, laying out the actions the project team would need to take. If the candidate struggles to organize his/her thoughts and structure the problem, the interviewer should prompt with a question (e.g., How big would the market need to be to make the product viable?) The candidate should quickly get to the mechanics of market size estimation and develop a business case. A successful candidate will go beyond the simple market and revenue sizing. He/she should discuss the pros and cons of a product launch, address additional considerations and make a solid recommendation as to how to proceed. A superior candidate will recognize the challenges (e.g., cannibalization and branding) of re-launching the brand for a new segment. The interviewer should challenge the candidate to justify any assumptions or arguments made when raising considerations.

Case 7: Botox

Continued... (page 2 of 5)

Background Information

(to be provided when requested by candidate)

Product

Price

- The drug will be priced at \$200/injection

Cost

- Remaining development and launch costs amount to approximately \$5B
- Manufacturing marginal costs are expected to be quite small
- Annual marketing expense can be estimated at \$1B

Attributes

- The product is a prophylactic injection given every 2 months
- Offers similar efficacy compared to market leading option but without any side effects
- When taken for migraines it does have some added skin care benefits

Customers

- # of typical migraine sufferers is difficult to approximate since migraines/headaches vary greatly
- Assume at least 10% of migraine sufferers are willing to try such a medicine

Market Sizing Information

Population:

- This drug will initially be produced in the US, so the candidate should use world population (300 M)

% of population diagnosed with migraines:

- Reasonable estimate of the number of migraine sufferers (20% of population)

% treated with OTC (Over The Counter) vs. prescription medications (i.e. severe migraine sufferers):

- Assume that about 50% of chronic migraine sufferers experience severe migraines and are willing to purchase prescription products

Expected share for the product:

- Due to the absence of side effects and the beneficial skin care properties assume 20%-40% of overall market in 5 years

Competition

- The market leading branded prescription oral migraine treatment lost patent protection last year
- Strong over-the-counter generic market for migraine treatments

Case 7: Botox

Continued... (page 3 of 5)

Sample Analysis

(not to be shown to candidate)

The candidate should conduct a market sizing calculation

Variables	Source (given in case unless stated)	Calculations
US population		300 M
% of people who suffer from chronic headaches/migraines	Assumed	20%
% severe migraine sufferers	Assumed	50%
Total market size in # of patients	(world pop.) x (% chronic sufferers) x (% severe)	30 M
\$Price/ injection		\$200
# injections/year	(1 injection/(2 months) x (12 month/year)	6
Annual revenue per patient	(\$ price/injection) x (# injections/year)	\$1200
Total annual market size in \$	(# patients) x (annual revenue per patient)	\$36 B
% Botox market share	Assumed	20% - 40%
Potential annual Botox market size in \$	(total market size \$) x (% of market share)	\$7-14 B

Key Takeaway: The market size is large enough to warrant investment

Case 7: Botox

Continued... (page 4 of 5)

Sample Considerations

Branding

- The Botox brand carries a specific and somewhat controversial image which may impact patients' willingness to use the drug for a non-cosmetic indication.
- By leaving both products under the same brand name, the client opens itself to more risk exposure should a new side-effect be discovered for one of the products. Since the migraine market will likely much larger than the existing cosmetic market, it bears a higher risk of adverse events which may then impact the existing market.

Erosion/Cannibalization

- If physicians and consumers identify that they two products are essentially the same, it will be very challenging for the client to preserve the two separate markets. The client should investigate regulatory and other mechanisms for keeping the markets separate.
- Launching this product at a much lower price-point than the cosmetic indication might cause substantial off-label usage, price erosion and cannibalization of the cosmetic segment.

Competition

- Given only comparable efficacy versus generic brands, insurance companies may not be willing to put the Botox treatment on formulary, and many migraine sufferers may be unable to afford the treatment out-of-pocket.

Other Considerations

- From a regulatory perspective it can be challenging to launch a new indication of an existing product to treat a different condition. The FDA may require the products to be labeled differently and limited to certain specialties, requiring separate marketing.
- In general, patients tend to be averse to injectable therapies, particularly when comparable oral treatments are available.
- The client could submit the product for approval in other countries in order to increase the potential market size.
- If the product can be shown to have better efficacy for a particular patient population, it may be preferable to target the indication and marketing.

Case 7: Botox

Continued... (page 5 of 5)

Sample Recommendations

Recommendations

- Given the projected \$ size of the prescription migraine market, this looks like a promising market to enter for the Botox maker and would seem to offer very large revenue potential, and more importantly, profit potential.
- However, the product will face significant challenges if launched according to the company's proposed strategy and may cannibalize the highly profitable Botox cosmetic product.
- Launching under another brand name might allow the client to more effectively differentiate between the two uses when advertising the product to customers and physicians. It would also make it easier to price the products differently.

Case 8: Bike Helmets



- Candidate led
- Market Sizing
- Manufacturing



Easy
Normal
Hard

Case Prompt

(to be read to the candidate)

Your client is a private equity firm that mainly works in the manufacturing industry. The firm completes a thorough due diligence including but not limited to examining expected demand and projected profits when deciding whether or not to purchase a company. They are considering purchasing a firm that makes bicycle helmets and accessories. You have been hired to determine whether or not they should purchase this firm.

Interviewer Guide

This case is really designed to see how the candidate thinks. The candidate needs to make assumptions and justify them throughout. A superior candidate will be able to defend the assumptions made in the face of questions challenging the assumptions from the interviewer. The market sizing portion should take into account as many factors as possible. A superior candidate will outline the factors he or she wants to consider, develop criteria for consideration, and then attribute assumptions for each of those factors. If the analysis is too simple, the interviewer should push back on the candidate to consider more factors. The final market size in dollars should be benchmarked against other industries or within the context that it is of the order of magnitude in the billions of dollars.

In the end, the recommendation is flexible, but if the bike company is moving more heavily into a higher margin, not as competitive, and still-growing low end of the market, this would most likely be an attractive investment.

Case 8: Bike Helmets

Continued... (page 2 of 5)

Background Information

(to be provided when requested by candidate)

Company

- The company only sells its products in the U.S.
- Revenue mix from the 2 product lines is split 50/50
- The company currently has 70% market share
- They have a good relationship with their suppliers
- The company was originally in the high-end of the market, but now is in the mass market

Market

- Most new entrants have been in the high-end of the market
- There are different product lines for high-end and mass market
 - High-end = 40% of market
 - Mass market = 60% of market

Case 8: Bike Helmets

Continued... (page 3 of 5)

Background Information

(to be provided when requested by candidate)

Helping the Candidate Develop Market Sizing Assumptions

- *If the candidate asks “Is the overall bike helmet market growing?” Ask him/her “what do you think?” and make them justify their answer. Ask him/her to provide a percentage growth or decline (a range is okay)*
 - Sample answer: “I believe the bike helmet market is growing because people are exercising more because of health concerns, gas prices are increasing rapidly so more people are using bikes instead of driving”
- *If the candidate asks where the company distributes its product, ask them back “Where do you think?”*
 - Sample answer: Specialty stores, Sports Authority, Wal-Mart, Target...
- *The products are distributed mainly through specialty stores, but ask the candidate “what are the risks of selling at Wal-Mart?”*
 - Sample answer: Buyer power squeezes the profit margins for the bike company
- *What is more profitable, selling to the mass market or selling in specialty stores*
 - Sample answer: Selling to the mass market is more profitable because of lower distribution costs
- *At some appropriate point during the interview, ask the candidate to determine the annual revenue of the company (market sizing)*
 - A good trick on this part is to realize that since the revenue mix is 50/50, they only have to size one of the product lines, and then double their answer at the end. It is easier to size the bike helmets, because accessories is a very broad category
 - There is no “right way” to size the market, but here are some points to consider: Age , Income, Urban/rural , Bike helmet laws, Delivery

The candidate should size the entire market and then take 70% of the total market, since that’s the company’s share. Estimates and factors for consideration will vary, but the candidate must be able to justify the numbers through each step of the process.

Case 8: Bike Helmets

Continued... (page 4 of 5)

Sample Analysis

(not to be shown to candidate)

The candidate should conduct a market sizing calculation

Variables	Source (given in case unless stated)	Calculations
US Population		320 M
% of population that rides bikes	Assumed	75%
% of bike riders that wear helmets	Assumed	75%
# of helmets bought per year	Assumed	1
Total market size in # helmets	(US pop.) x (% bike riders) x (% wear helmets)	180 M
Price per helmet	Assumed	\$20
Annual revenue from helmets	(helmet market size) x (price of helmet)	\$3.6B
Annual revenue from accessories	(accessories revenue) = (helmet revenue)	\$3.6B
Total annual market size in \$	(helmet revenue) + (accessories revenue)	\$7.2B
Bike company market share		70%
Bike company annual revenue	(total market size \$) x (% of market share)	\$5.1B

Key Takeaway: The company represents an attractive opportunity given the relatively large market size and market trends

Case 8: Bike Helmets

Continued... (page 5 of 5)

Sample Conclusions & Recommendations

Recommendations

- The recommendation will ultimately depend on the assumptions made by the candidate in sizing the market
- If the company is moving into a higher margin, lower competition, and growing market then this would be an attractive investment for the private equity firm, but it should be noted that the price paid for company will play a huge part in determining how attractive the overall investment is

Risks

- The risks should be based around the assumptions made by the candidate and changes in various assumptions could have different impacts on the profitability and investment potential for the private equity firm
- 70% market share may be unreasonable to assume in perpetuity as more competition enters such an attractive market
- Potential for private label brands to compete in the mass market and take away market share or drive down margins

Case 9: Starbucks and Ice Cream



- Candidate Led
- Growth
- Food Services



Easy
Normal
Hard

Case Prompt

(to be read to the candidate)

Our client is Starbucks. Starbucks has had no growth and is facing competition from Dunkin Donuts, which has partnered with Baskin Robbins at many of its locations. Do you think that Starbucks should add ice cream to retail stores? Please also explore other growth opportunities for Starbucks.

Interviewer Guide

This is a very high-level strategy case in which the candidate is expected to evaluate a new idea for the client. It is important to assess the impact of introducing this product on Starbucks' strategy and operations. Additionally, the candidate should be evaluated based on creativity and structure in proposing new alternatives for the firm. The candidate must form hypotheses along the way as information is relayed from the interviewer to the candidate.

A superior candidate will be able to use his/her framework in a structured manner to determine whether ice cream should be added. This discussion should go beyond revenue and cost (i.e. brand identity, operational issues, etc.).

Case 9: Starbucks and Ice Cream

Continued... (page 2 of 4)

Sample Discussion

(to be relayed by candidate when discussing framework)

Customers

- How are the customers at Starbucks different from customers at Dunkin Donuts?
 - Starbucks: higher end clients who appreciate the coffee and the ambience the stores provide
 - Dunkin Donuts: lower income group and coffee on-the-go
- Who eats ice cream?
 - Heavily consumed by children

Business Issues

- A large number of kids in a store would damage Starbucks' most recognizable quality, the ambience it provides
- Starbucks' high margin product lines in frozen drinks and baked goods would be affected by the introduction of ice cream leading to possible cannibalization of profits

Starbucks' Value Proposition

- What differentiates Starbucks?
 - Atmosphere generated by the large stores and comfortable chairs (this is as important as the coffee)
 - High quality coffee
 - Extreme customization of products
 - High quality customer service

Operational Issues

- Finding and dealing with a new supplier
- Current stores are not equipped to store ice cream with freezers which would require major renovations, and could mean a smaller seating area
- Baristas would need to learn new processes for handling ice cream

Initial recommendation (candidate should summarize in 30 seconds): Starbucks should not sell ice cream in its stores because of potential cannibalization, conflicts with its current business model, and the need for major operational changes

Case 9: Starbucks and Ice Cream

Continued... (page 3 of 4)

Sample Discussion

(to be relayed by candidate when discussing framework)

Interviewer should keep probing candidate for more alternatives for growth for Starbucks.

Introduction of new products

- Introduce a non-specialty coffee (Starbucks has now done this with Pike Place Roast) as a special offer during tough economic times to compete with Dunking Donuts
- Begin selling Starbucks ice cream in retail channels (this is already being done)

Expansion into new areas

- Additional suburban areas, slightly further semi-rural areas
- Selective cities internationally

Key Takeaway: Starbucks has some additional alternatives to explore growth that will fit its value proposition and leverage the competencies it has developed over time

Case 9: Starbucks and Ice Cream

Continued... (page 4 of 4)

Sample Conclusions & Recommendations

Recommendations

- Given the conflicting target market, potential cannibalization and major operational challenges between Starbucks' business model and ice cream selling, it is not recommended that it starts selling this product in its stores
- Next steps include:
 - Analyzing the other suggested growth opportunities, and pick one or two that would meet Starbucks model
 - Devise how these new alternatives would solve Starbucks' growth problem as well as help the company fight the competitors' strategic move

Risks

- There is a risk the market migrates towards selling ice cream in cafes
- The new alternatives may not be enough to set Starbucks back on the growth track (not big enough, not profitable enough, or simply to not meet their expectations)
- Starbucks' growth issue is beyond new products and rest on more structural problems (excess of stores, growing lines and increasing costs of customization)

Case 10: A PE and a Soda



- Interviewer Led
- Profitability
- Private Equity



Easy
Normal
Hard

Case Prompt

(to be read to the candidate)

Your client is a private equity firm that has recently purchased a plastic materials manufacturer that makes products such as plastic soda bottles. The client is looking to cash out of their investment within 5 years and wants you to help improve the profitability of the manufacturer.

Interviewer Guide

In this case the candidate will be required to relay a thorough framework and conduct a quantitative comparison of the two products, after which the interviewer will take charge and ask the questions mentioned in the case.

A superior candidate will run through calculations in an organized manner while keeping the interviewer aware of what he/she is trying to achieve. Candidates can make the case easier by referring back to a framework which outlines various costs associated with the bottling industry and understanding the importance of capacity constraints in the manufacturing industry. Otherwise, the case is relatively straightforward but allows for a superior candidate to shine at the end by offering a robust synthesis of the choices facing the PE firm and the risks which are necessary to consider in the recommended strategy.

Case 10: A PE and a Soda

Continued... (page 2 of 7)

Information

(to be provided when requested by the candidate)

Market

- Bottling market size – can be calculated by revenues later
- Bottling market is growing at 10% a year in North America
- The firm has 30% share of the bottling market
- The firm's bottling sales have been growing at 15% a year, projected 15% growth for each of the next two years

Product Mix

- The firm manufactures two types of products - bottles and non-bottling goods
- The bottles are delivered locally to the clients, large bottlers such as Coke or Pepsi
- Non-bottling products (such as advertising displays for stores) are delivered directly to the establishments that will use them, such as gas stations
- Bottles are made to spec whereas the non-bottling goods are not
- Firm has higher quality products and manufactures at lower costs due to more efficient machinery

Operations

- The firm has two plants:
 - One plant in southeast US that manufactures only bottles with capacity of 1.5B bottles
 - Another plant in Canada that can produce both bottles and non-bottling materials with capacity of 500M products. Currently producing non-bottling
- Assumptions:
 - No downtime, plants are fully utilized
 - Plants are using new, highly efficient machinery

Revenues and Costs

- Bottles sell for 5 cents each
- Non-Bottling generates \$20M in revenues
- Bottles costs:
 - COGS (plastic) – 2 cents per bottle
 - Machinery – 1 cent per bottle
 - Labor - 0.5 cent per bottle
- Non-bottling has total variable costs of \$18M
- SG&A across the entire firm is \$20M

Case 10: A PE and a Soda

Continued... (page 3 of 7)

Sample Analysis

(not to be shown to candidate)

Candidate should conduct a comparison of the two products

Variables	Source (given in case unless stated)	Calculations – Bottling	Calculations – Non-Bottling
Manufacturing capacity		1.5 B	0.5 B
Revenues		5 cents per bottle	\$20M
COGS		2 cents per bottle	-
Machinery		1 cent per bottle	
Labor		0.5 cent per bottle	
Total variable costs	Bottling: (COGS) + (machinery) + (labor)	3.5 cents per bottle	\$18M
Total profit	Bottling: (manufacturing capacity) x ((total revenues) – (total variable cost)) Non-bottling: (total revenues – total costs)	\$22.5M	\$2M
Profit margins	(total profit) / (total revenues)	30%	10%

Key Takeaway: Bottling products have higher profit margins

Case 10: A PE and a Soda

Continued... (page 4 of 7)

Question #1

Should the firm convert the non-bottling production to bottling in its Canada plant? (cost - \$3M)

Sample Response

- Cost of conversion: \$3M
- Assumption – the firm has sufficient cash on hand to finance this project
- Current profit in Canada (previously calculated):
 - \$2M, 10% margin
- Projected profit from conversion if the firm can sell the entire capacity:

Variables	Source (given in case unless stated)	Calculations
Number of additional bottles		0.5 B
Profit per bottle	Previously calculated	1.5 cents
Projected profit from conversion	(# of additional bottles) x (profit per bottle)	\$7.5M

Key Takeaway: The conversion could potentially add \$5.5M in annual profit, if the firm can sell the entire capacity. Breakeven is in the 1st year

Case 10: A PE and a Soda

Continued... (page 5 of 7)

Question #2

What are some non-financial risks to consider before converting non-bottling production to bottling in its Canada plant?

Sample Response

- Implementation timeframe:
 - How much time will it take?
 - Do we need to take a phased approach?
- Distribution Channels:
 - Will the current distribution network need to change to reach customers?
 - How will distribution centers scale up given the growth projections?
- Costs:
 - Will there be any additional costs to consider besides the one time conversion cost?
 - Will there be any changes in variable costs like Labor?
 - Any change in profit margins in the Canada plant?
 - Can we re-negotiate supplier contracts to reduce COGS?
- Other:
 - Will the client need to hire new workers in the Canada factory or train current workers?
 - Resistance from Labor Union if organized labor is part of our production employee pool in Canada?

Case 10: A PE and a Soda

Continued... (page 6 of 7)

Question #3

How much additional market share should the firm gain in the next 2 years in order to sell the extra bottles?

Sample Response

Variables	Source (given in case unless stated)	Calculations
Number of bottles currently manufactured		1.5 B
Firm's current market share		30%
Bottling market size	(# of bottles manufactured) / (market share)	5 B

- Bottling market is growing at 10% per year in North America (given)
- The firm's sales are growing at 15% per year (given)

Variables	Source (given in case unless stated)	Year 0 (now)	Year 1	Year 2
Firms sales	Each year, multiply by the firm's sales growth rate	1.5B	1.72B	1.98B
Bottling market size	Each year, multiply by the bottling market growth rate	5 B	5.5 B	6.05 B
Required market share	(firm sales) / (bottling market size)	30%	31.36% **	32.72%

Key Takeaway: Gaining ~3% market share in 2 years seems feasible

Case 10: A PE and a Soda

Continued... (page 7 of 7)

Sample Conclusions & Recommendations

Recommendations

- The manufacturer should convert the non-bottling manufacturing in Canada to bottling, as it offers better margins, assuming that the firm can maintain sales growth
- The additional capacity is needed to match next year's anticipated demand, although the firm won't need the entire capacity in the first year after expansion (only 0.22M)
- If market and sales grow according to projections, the firm will run out of capacity at the end of the second year

Risks

- The market might not continue growing at the same rate or may enter a period of decline
- It may be difficult for the company to continue to grow faster than the market
- The non-bottling market and firm's sales might be growing at a faster rate (no information was given) and therefore capital may be better spend on that part of the business

Other

- Consider adding another plant or expanding existing plants to keep pace with the sales growth. Expansion plans should fit within the PE firm's goal of exiting within 5 years
- Renting out additional capacity from other plants may be a feasible option which ties up less capital and allows an easier reversal of the strategy if market trends sour
- Negotiate with suppliers / customers may improve the profitability of the business
- Increase prices due to higher quality products may be possible but lost market share due to a price increase may be difficult to make up in a five year time horizon

Case 11: Frank's Fertilizer



- Interviewer led
- Profitability/Market Sizing
- Fertilizers



Easy
Normal
Hard

Case Prompt

(to be read to the interviewee)

Our client, Frank's Fertilizer, makes agricultural soil fertilizer. The client's research division has created a new fertilizer supplement for grape production, and wants our advice on whether or not they should commercialize it. What are the key issues we need to examine?

Interviewer Guide

This case involves some market sizing, some analysis of pricing dynamics, and ultimately an investment decision. Candidates must be able to organize and process a fair bit of quantitative data in addition to draw some high level insights. Judgment is particularly important when determining how to present a summary of all the arithmetic.

Case 11: Frank's Fertilizer

Continued... (page 2 of 10)

Question

What are the key issues we need to examine?

This is a profitability question, so we want to know:

- How big is the market? (What revenues can we generate?)
 - How will customers value the product? What are the drivers of demand?
 - What can we charge for the product? What are industry dynamics?
 - What kind of volume can expect?
- What are our margins? (What are our variable costs?)
- What are our fixed costs?

Additional Background

(to be said to the interviewee)

Frank's Fertilizer would like to target the California grape market for sales of its new grape supplement. California grapes are exclusively used for wine making, and firms in the industry specialize in growing either green grape for white wine, or purple grapes for red wine. Firms in both markets average 250 acres, which they harvest once per year. The market is fairly stable, and is growing at pace with GDP.

Revenues and Competitors

(to be provided when requested by interviewee)

Provide exhibit #1

Case 11: Frank's Fertilizer

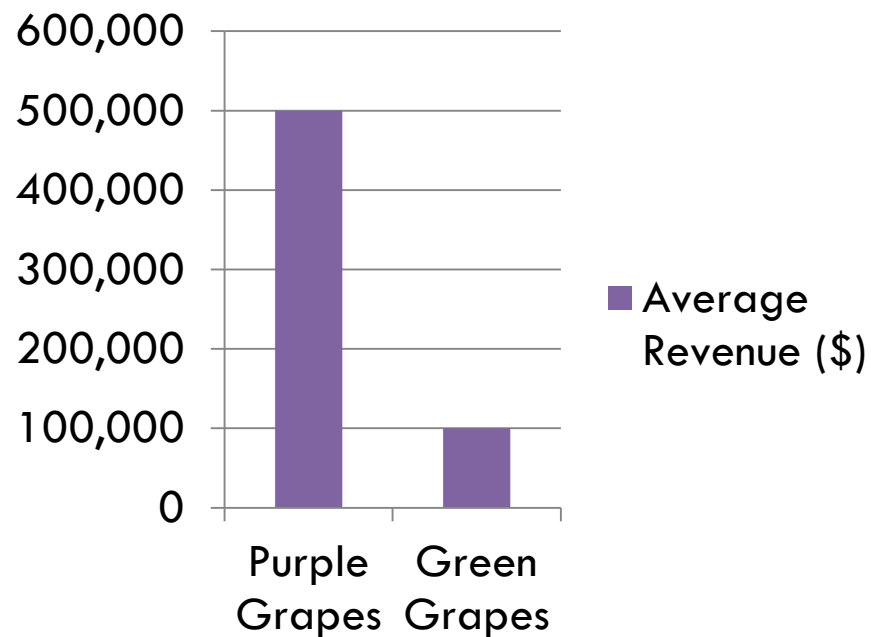
Continued... (page 3 of 10)

Exhibit #1

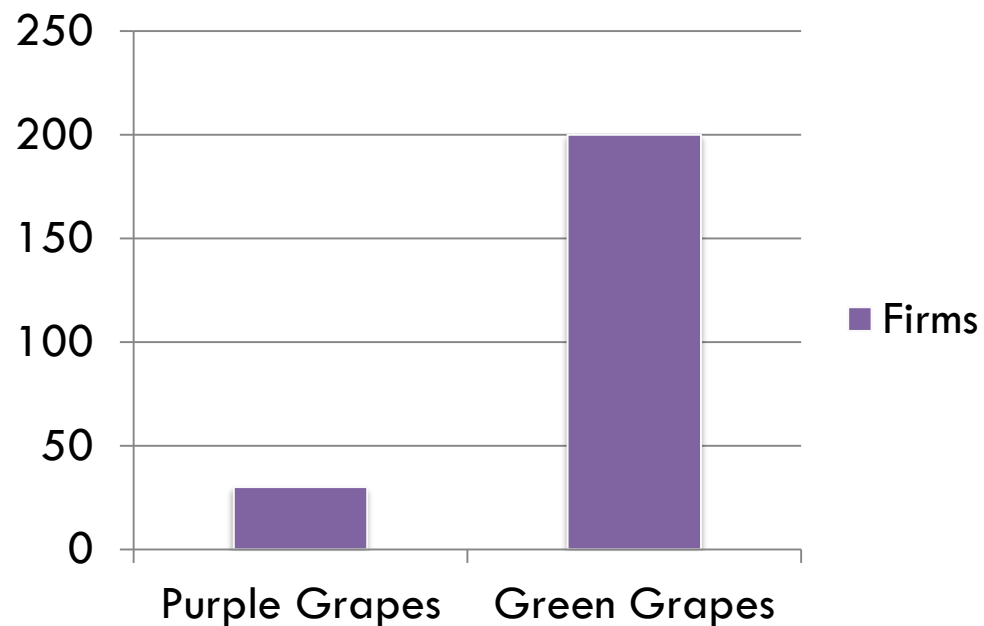
(to be provided to interviewee as background information for second question)

California Grape Market Data (2009)

Average Revenue (\$)



Number of Firms



Case 11: Frank's Fertilizer

Continued... (page 4 of 10)

Question

How big is the California grape market? What conclusions can we draw from this? Is the California grape market big enough to justify commercializing the fertilizer supplement?

Variables (** - calculation required)	Source/Formula	Calculations
Total Purple Grape Revenue**	(Average purple grape revenue * # purple grape firms)	\$15M
Total Green Grape Revenue**	(Average green grape revenue * # green grape firms)	\$20M
Market Size (annual)**	Sum of revenues	\$35M

Case 11: Frank's Fertilizer

Continued... (page 5 of 10)

Question

What is the potential value add of the supplements?

The total potential is the combined value from extra revenue (from improved yield) and reduced costs (from earlier harvests).

Additional Background

(to be said to the interviewee)

In tests, the supplements allow grape growers to harvest their grapes 16 days earlier than with the current fertilizer product on the market. This saves growers approximately \$5 per acre per day costs, which normally are needed to keep animals away from crops.

Cost Savings

(NOT to be shown to interviewee)

Variables (** - calculation required)	Source/Formula	Calculations
Savings per farmer**	(Daily cost savings * Harvest days reduced * Average number of acres per farm)	\$20K
Total number of farmers	Found in exhibit #1	230
Total Savings**	(Savings per farmer * Total number of farmers)	\$4.6M

Case 11: Frank's Fertilizer

Continued... (page 6 of 10)

Question

What is the savings produced to farmers from better yields?

Additional Background

(to be said to the interviewee)

Furthermore, the increase in the size of grapes directly increases the amount of grape juice produced annually. The supplement can increase purple grape yields by 10% and green grape yields by 15%.

Cost Savings

(NOT to be shown to interviewee)

Variables (** - calculation required)	Source/Formula	Calculations
Savings for purple grape farmers**	(Purple grape market size * Increased purple grape yield)	\$1.5M overall, \$50K per farmer
Savings for green grape farmers**	(Green grape market size * Increased green grape yield)	\$3M overall, \$15K per farmer
Total Savings**	(Savings per farmer * Total number of farmers)	\$4.5M

A strong candidate will question whether California grapes are a substantial piece of the overall grape market to determine whether this will reduce grape prices

Case 11: Frank's Fertilizer

Continued... (page 7 of 10)

Question

What is the total value of the product per farmer? Overall?

Variables (** - calculation required)	Source/Formula	Calculations
Early harvest savings per farmer	Found in previous pages	\$20K
Increased yield savings per purple grape farmer	Found in previous pages	\$50K
Increased yield savings per green grape farmer	Found in previous pages	\$15K
Total savings for purple grape farmers**	(Early harvest savings per farmer + Increased yield savings per purple grape farmer)	\$70K per farmer
Total savings for green grape farmers**	(Early harvest savings per farmer + Increased yield savings per green grape Farmer)	\$35K per farmer
Total savings**	(Savings per purple grape farmer * # of purple grape farmers + Savings per green grape farmer * # of green grape farmers)	\$9.1M

Question

How much of the \$9.1M value can Frank's Fertilizer capture? What will determine this?

Candidate should identify issues of buyer power and rivalry:

- Price discrimination
- Brand value
- Consumer confidence in our marketing
- Presence of substitutes

Case 11: Frank's Fertilizer

Continued... (page 8 of 10)

Question

What will be the costs of producing enough supplements for the entire California market? Half the market? What kind of penetration should we expect?

Additional Background

(to be said to the interviewee)

Commercializing the supplement will require annual capital leases costing \$2.2M, with additional production costs of \$4K per hectoliter. Purple grape fields require 5 hectoliters per 250 acres, while green grape fields require 2 hectoliters per 250 acres.

Cost

(to be provided upon request)

Candidate may inquire about the timeframe of fixed costs and recovery. The fixed cost is one time; recovery should be based on reasonable assumptions.

Variables (** - calculation required)	Source/Formula	Calculations
# purple grape farms	Found in exhibit #1	
# green grape farms	Found in exhibit #1	
Total demand for supplements**	(# purple grape farms * Purple grape farm supplement required + # green grape farms * Green grape farm supplement required)	550 hectoliters
Total variable cost**	(Total hectoliter demand * production cost per hectoliter)	\$2.2M
Total fixed cost	As stated above	\$2.2M
Cost of supplying to entire market**	(Fixed cost + Variable cost)	\$4.4M
Cost of supplying to half market**	(Fixed cost + Variable cost/2)	\$3.3M

Case 11: Frank's Fertilizer

Continued... (page 9 of 10)

Penetration analysis should return to the issues of buyer power. Candidate should identify tradeoff between margin and initial penetration.

Question

What kind of penetration lets us break even if we price at \$10K per hectoliter? What about if we price at \$8K? \$15K?

Variables (** - calculation required)	Source/Formula	Calculations
Variable Cost	Found in previous pages	\$4K
Break even for \$10K price**	(Fixed cost / Marginal profit)	365 hectoliters
Break even for \$8K price**	(Fixed cost / Marginal profit)	550 hectoliters
Break even for \$15K price**	(Fixed cost / Marginal profit)	200 hectoliters

Use contribution margins to solve the problem:

$$\text{Quantity} \times \text{Price} - \text{Quantity} \times \text{Variable Cost} - \text{Fixed Cost} = 0$$

$$\text{Quantity} \times (\text{Variable Cost} + \text{Margin}) - \text{Quantity} \times \text{Variable Cost} - \text{Fixed Cost} = 0$$

$$\text{Quantity} \times \text{Margin} = \text{Fixed Cost}$$

$$\text{Quantity} = \text{Fixed Cost} / \text{Margin}$$

Case 11: Frank's Fertilizer

Continued... (page 10 of 10)

Case Closing

Recommendation

- It would not be a good move to commercialize the product based on the California grape market alone
- Comparing the break even quantities and the total size of the California grape market we see that Frank's Fertilizer would have to capture substantial market share just in order to break even
- Before deciding to commercialize the supplement it would be wise to size additional markets to see if there is potential for additional sales elsewhere

Risks

- Demand for supplement is not as high as projected
- Willingness to pay is not high enough to make business profitable or makes breakeven quantity unreasonable to reach
- Supplement does not perform as expected

Case 12: Magic Media



- Interviewer led
- Auction/Bidding Strategy
- Media



Easy
Normal
Hard

Case Prompt

(to be said to the interviewee)

Our client, UK based Magic Media, is participating in an auction for the rights to broadcast the 2016 Quiddich World Cup. Magic Media is a mature company that derives the vast majority of its revenues from selling TV advertisements.

What should we bid on the broadcasting rights? What factors will affect our bid?

Interviewer Guide

This case starts very heavy on assumption-based number crunching. As assumptions are updated, the candidate must correctly adapt his/her answer with arithmetic logic. Finally, the candidate must provide some high level insights on auction dynamics.

Question

What are the key issues we need to examine?

- Determine our marginal TV revenue
- Know how long the World Cup runs, how many prime time and non-prime time advertisements can be shown, and what can be charged for each
- Take into consideration that receipts are far into the future, but securing the license will require payment now
- Figure out how much our competitors will bid in the auction to determine if we should bid, and if so, how much

Case 12: Magic Media

Continued... (page 2 of 5)

Background Information

(to be provided when requested by interviewee)

The Games

- The 2016 Quiddich World Cup will last 3 weeks, beginning with the opening ceremony on a Sunday afternoon, and with the final match and the closing ceremony on a Saturday evening
- We can broadcast 6 hours per weekday and 8 hours per weekend. We can broadcast an extra 2 hours on ceremony days, to allow for the length of the ceremony
- We expect heavier viewing during the weekday evenings (the last 2 hours), as well as all the weekend days, with peak viewing during the final day of games and the two ceremonies

Competition

- Magic Media has 3 competitors in the auction
- There are 2 smaller US-based players that are looking to boost their international presence, and would likely have considerably higher production costs (and possibly lower advertising revenues). They may be willing to loss-lead on the Quiddich World Cup
- There is also 1 large UK-based player, which like Magic Media, is a mature company. The UK competitor has similar economics as the client

Revenues

- We can show ads for no more than 10 minutes per hour, and we charge double our normal rates, so \$50K/min for non-prime, \$200K/min for prime, and \$500K/min for peak (normally we charge \$25K/min, \$100K/min and \$250K/min, respectively)

Cost

- Due to the complicated logistics of the event, we will need to spend an extra \$10M to produce the broadcast over our normal programming

Case 12: Magic Media

Continued... (page 3 of 5)

Revenue Analysis

(NOT to be shown to interviewee)

Variables (** - calculation required)	Source/Formula	Calculations
# of peak hours**	(Hours for final match + Hours for opening ceremony + Hours for closing ceremony)	12 hours
# of prime hours**	(Prime hours per weekday * # of weekdays + # Hours per weekend day * # of weekend days)	70 prime hours
# of non-prime hours**	(Non-prime hours per weekday * # of weekdays)	60 non-prime hours
Total revenue**	(# peak hours * Peak rate * 10 minutes + # prime hours * Prime rate * 10 minutes + # non-prime hours * Non-prime rate * 10 minutes)	\$230M
Marginal profits	(Total revenue/2 – Extra production costs)	\$105M

Details Around Calculations

- Tournament lasts a total of 21 days, of which 15 are weekdays, 5 are normal weekend days, and 1 is the final match day
- If 2 of 6 weekday hours are prime we have 30 prime hours on weekdays and 60 non-prime hours
- Combined with regular weekends we have another 40 prime hours totally 70 prime hours and 60 non-prime hours
- Adding the ceremonies and the final match day we have a total of 12 peak hours
- Candidates should recognize that extra viewership may spill over onto other normal programming and may adjust the expected marginal revenue up between \$2.5M and \$10M based on reasoned assumptions

Case 12: Magic Media

Continued... (page 4 of 5)

Question

The World Cup takes place in 2016, but the auction is this year. How much is the future stream of revenue worth today?

Candidates should identify the time delay between purchasing the rights to broadcast and the receipts from advertisement sales. If the candidate inquires about interest rates, prompt him/her to make reasoned assumptions. Some candidates may need prompting to do this analysis.

Variables (** - calculation required)	Source/Formula	Calculations
Cost of capital	Make an assumption	10%
Time period	Match will be held in 5 years (assuming it is 2011)	5
Marginal profits	Calculated earlier in case	\$105M
Present value**	$(\text{Marginal profits}) / ((1 + \text{Cost of capital})^{\text{Number of years until match}})$	\$65.2M

Case 12: Magic Media

Continued... (page 5 of 5)

Case Closing

Recommendation

- In this case, Magic Media should bid below but close to the projected \$65.2M
- But we will want to know more about past bidding behavior of the UK competitor, and whether they are likely to risk losing the auction by underbidding (to increase gains)
- The smaller competitors add uncertainty to the overall mix, making underbidding even less attractive

Risks

- Candidates should recognize that a bid “at value” is entirely acceptable, because it would produce profits that meet the cost of capital. However, the “at value” bid could be a problem if the overall model is too optimistic (maybe by ignoring downside risks)
- Our projected revenues could be at risk if there is not sufficient demand to fill all the time slots for advertisements at the given prices
- Over- or under-bid because of insufficient understanding of competitors’ positions

Case 13: Wally's Wire Factory



- Interviewer led
- Profitability
- Manufacturing



Easy
Normal
Hard

Opening

(to be said to the interviewee)

It is 2009. Wally's Wire Factory makes electronics cables. Like most players in the industry, Wally's Wire Factory makes a large range of cables, wires, connectors, converters, and basic electronics extras. It has a steady stream of business and has little desire to expand into new products. Wally's Wire Factory has hired you to help increase profitability from its existing businesses.

Interviewer Guide

This case tests a number of qualitative skills including reading charts and drawing conclusions from visual data. The case also tests a candidate's understanding of pricing dynamics and ability to form data-driven hypotheses. Though this case does not have a significant quantitative component, candidates will run into difficulty presenting the discrete elements of their synthesis if they are unstructured.

Case 13: Wally's Wire Factory

Continued... (page 2 of 9)

Background Information

(to be provided when requested by interviewee)

Market

- Wally's is the leader of an established mature industry that is growing at the rate of GDP
- Market share: provide exhibit #1 and #2

Competition

- There are significant barriers to entry, so there has been no new competitors in the past 5 years, and Wally's projects it would take 2-3 years for a new competitor to enter
- Competition varies significantly by region

Costumers

- Costumers are mainly IT departments and retail businesses, but there is a sizable number of technology minded individuals who make direct purchases as well

Products

- There is a range of higher and lower end products, and margins vary considerably by product line

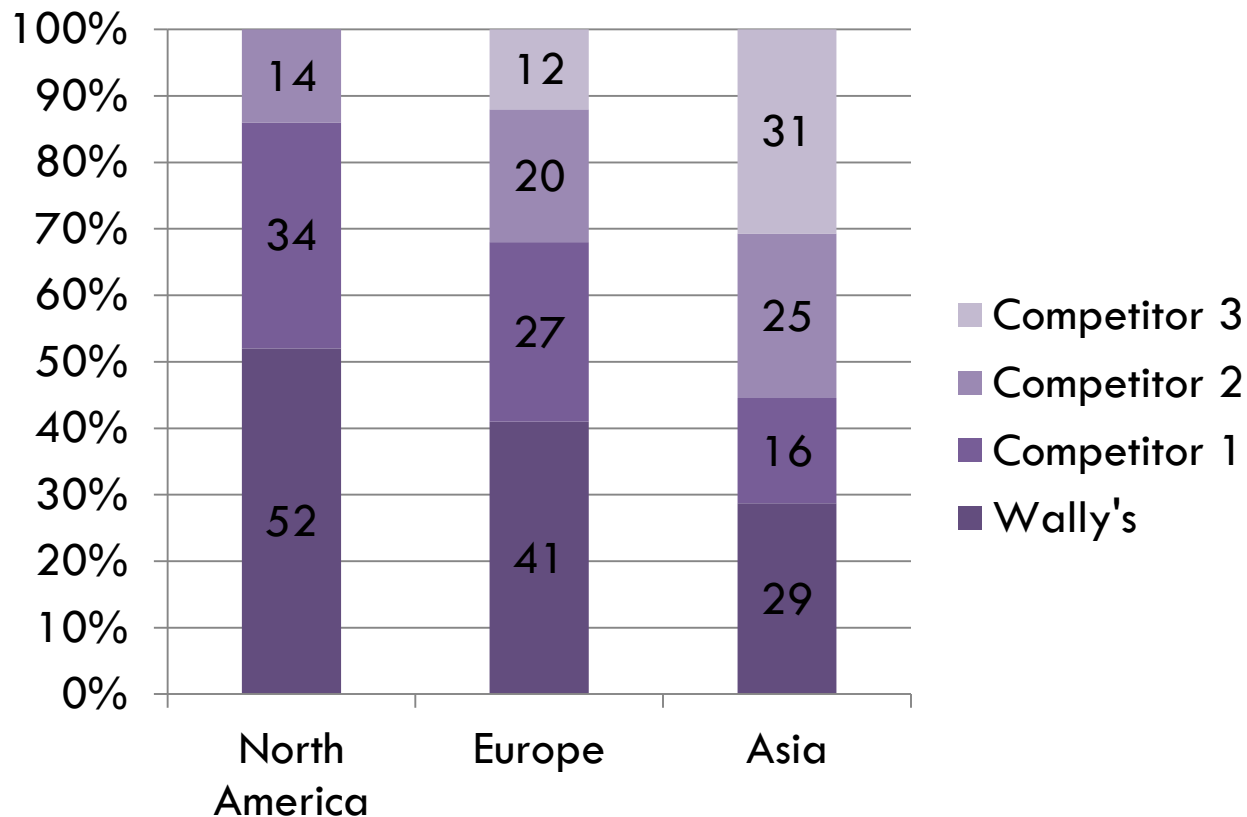
Case 13: Wally's Wire Factory

Continued... (page 3 of 9)

Exhibit #1

(to be provided to the interviewee as background information when asked about industry structure)

Wire Market Share Data, 2006



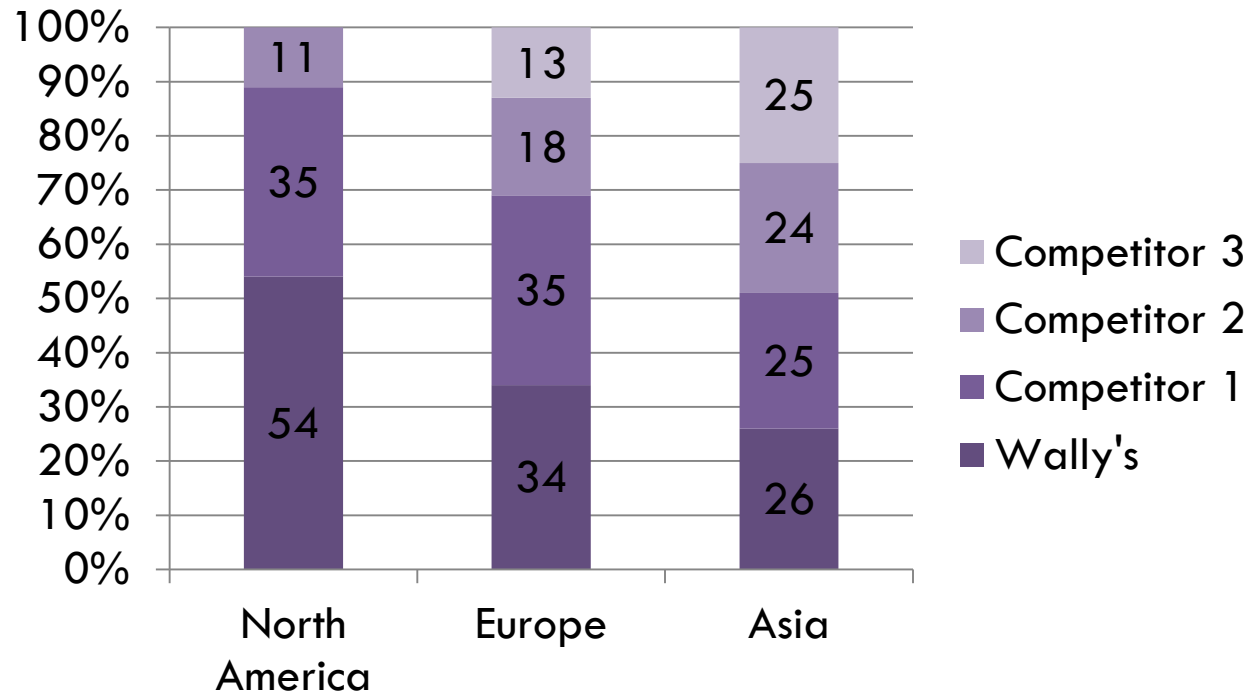
Case 13: Wally's Wire Factory

Continued... (page 4 of 9)

Exhibit #2

(to be provided to the interviewee as background information when asked about industry structure)

Wire Market Share Data, 2009



Question #1

What happened over the past three years? In which market are we best able to increase profitability from existing businesses? How should we approach this?

Case 13: Wally's Wire Factory

Continued... (page 5 of 9)

Question #2

What happened over the past three years?

- Our position in North America has grown further, possibly due to weak buyer power since firms are unable to exert much control as our product is a small component of their costs. It is probably the main buyer, with sales to retail firms being a smaller share
- Competitor 1 has grown considerably in Europe, mainly at our expense. Given the size of their growth, it is likely that they have reduced prices, which does not bode well for us since we may need to lower prices as well. We may be forced to innovate and cut our own costs
- Competition has become fierce in Asia. Competitor 1 has grown at the expense of competitor 3. Since all firms are splitting profits, late stages of pricing parity are likely settling in. Retail is probably the biggest buyer. Since they shop based on price, as our product is an expensive input, industry profits are eroded
- Note we cannot say anything about market growth since we are only given market shares

Question #3

In which market are we best able to increase profits from existing businesses? How should we approach this?

- It is unlikely that we can increase profitability in Europe and Asia since our product is being commoditized
- There is scope to increase profitability in North America
- Since margins vary by product line, we need to start there and understand causes of variations

Case 13: Wally's Wire Factory

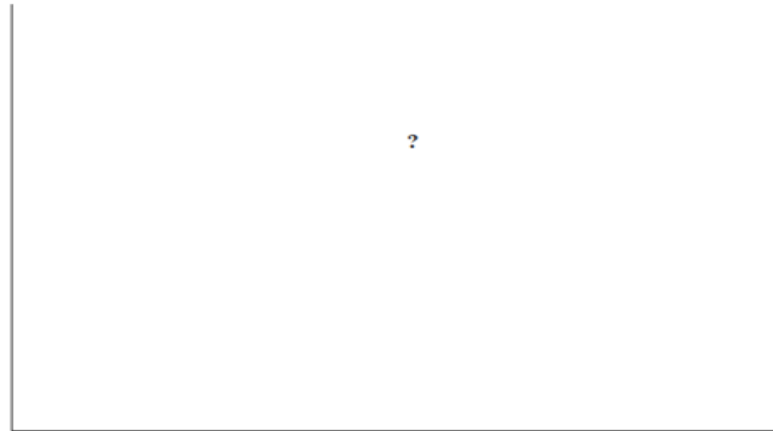
Continued... (page 6 of 9)

Exhibit #3

(to be provided after market share questions are addressed)

Patterns in Gross Margin Variation (North America 2009)

GROSS MARGIN BY PRODUCT



Question #4

We want to look at the North American market and understand variations in margins across products. We plot gross margin by product on the y-axis. What variable(s) might we want to plot on the x-axis?

- Since we do not face extreme competition in North America, there may be room to increase profits by capturing value through pricing. Therefore we should check how gross margins vary by product price elasticity.
- There are other reasonable answers.
- A strong answer should come with the possibility for some strategic recommendation based on data. For example in addition to naming the axis, the candidate should explain at least one data pattern that comes with a recommended course of action.

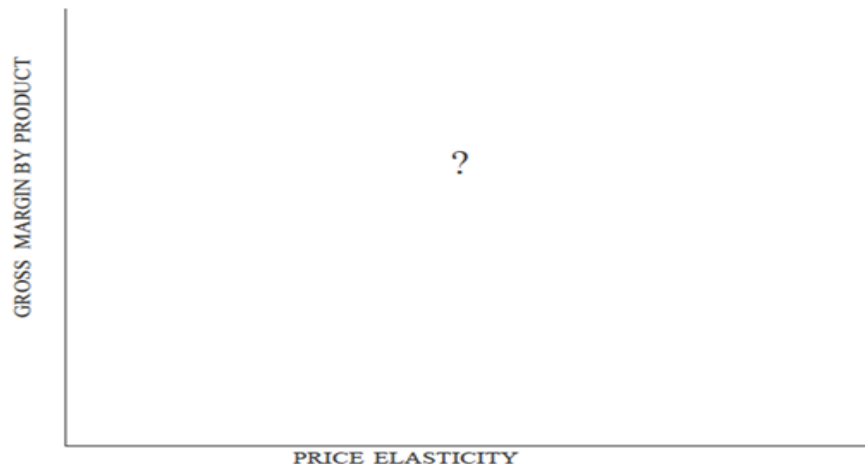
Case 13: Wally's Wire Factory

Continued... (page 7 of 9)

Exhibit #4

(to be provided after market share questions are addressed)

Patterns in Gross Margin Variation (North America 2009)



Question #5

If we choose to chart price elasticity on the x-axis, what kind of pattern might we expect? What kind of pattern would indicate considerable room for increasing profitability?

- Products with high price elasticity normally have the lowest gross margins, because products across companies are close substitutes and consumers use price when shopping.
- Products with low price elasticity have relatively high gross margins because products do not substitute well, and consumers are shopping based on different feature offers.
- The scatter plot should therefore have a clear downward trend, if the above were to hold true.
- Any scatter plot where we do not see a clear downward trend would indicate considerable room for increasing profitability through price adjustments.

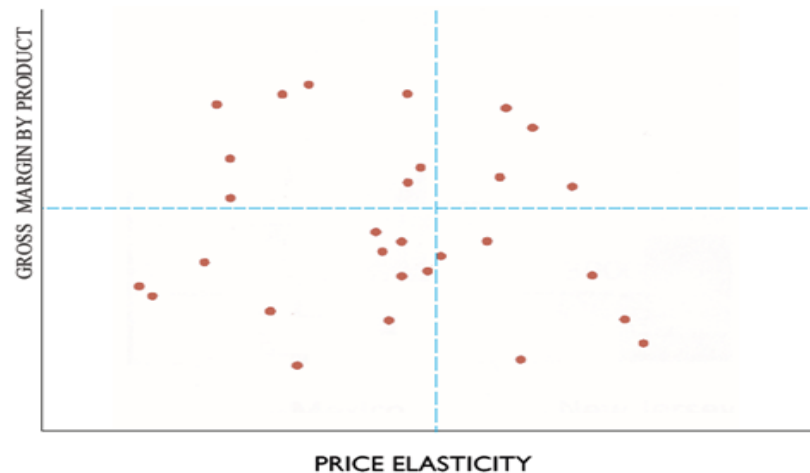
Case 13: Wally's Wire Factory

Continued... (page 8 of 9)

Exhibit #5

(to be provided after market share questions are addressed)

Patterns in Gross Margin Variation (North America 2009)



Question #6

After plotting price elasticity vs. gross margin by product, we produce the chart above. There appears to be little correlation between price elasticity and gross margin. What do you conclude based on the chart?

- Should raise prices on products in the lower left quadrant, since we can substantially increase margin without suffering share losses, because products have inelastic demand with respect to price
- We should be willing to cut prices on products in top right quadrant, since we can substantially increase our share with only slight losses of gross margin because of high price elasticity
- Revenue will increase in top left quadrant through price, and in top right quadrant through quantity

Case 13: Wally's Wire Factory

Continued... (page 9 of 9)

Case Closing

Recommendation

- We are unlikely to increase profitability in Europe and Asia since our product is being commoditized
- We can increase profitability in North America, our strong hold
- Since there isn't extreme competition in North America, we may be able to increase profits through price
- After looking at price elasticity and gross margins by product, we determined that it is best to increase prices in products with low price elasticity and gross margin, and lower prices in products that have high price elasticity and high margins

Case 14: MF Supplies



- Interviewer led
- Profitability
- Manufacturing



Easy
Normal
Hard

Opening

(to be said to the interviewee)

Marble Front Supplies is a producer of kitchen appliances and kitchen supplies. Marble Front is a strong brand, and historically the company had significant advertising and marketing expenses to maintain their brand. In the past, growth has been steady, driven by a combination of product line extensions and key acquisitions of specialty item producers. Sales go through a number of channels, including superstores, which are increasingly critical. These superstores have gained considerable share in the past few years, and constantly pressure us to lower our margins as they substitute generic products for traditional brand names like Marble Front. Recent drops in sales and profits have made Marble Front an acquisition target.

Our client is a private equity firm considering purchasing Marble Front. The client wants us to do due diligence on Marble Front's production facilities, and wants us to size the opportunity for production efficiencies. They believe Marble Front needs to lower costs to stay competitive in this market. What are the factors we should examine to determine whether Marble Front can lower production costs?

Interviewer Guide

This case tests the candidate's ability to analyze related pieces of operations data pulled from charts and tables, and has a moderate quantitative piece. Finally, candidates must be able to assess the qualitative drivers of an investment decision and synthesize a recommendation

Case 14: MF Supplies

Continued... (page 2 of 12)

Background Information

(to be provided when requested by interviewee)

Manufacturing

- The client currently produces SKU's (Stock Keeping Units) in **3 factories located in Michigan, Mexico, and New Jersey**

	Annual Production	Annual Capacity
Michigan	5,000 SKU's	8,500 SKU's
Mexico	4,500 SKU's	12,000 SKU's
New Jersey	3,000 SKU's	5,500 SKU's

- Provide exhibit #1

Profitability

Revenues:

- Current production generates \$475 million in revenues

Costs:

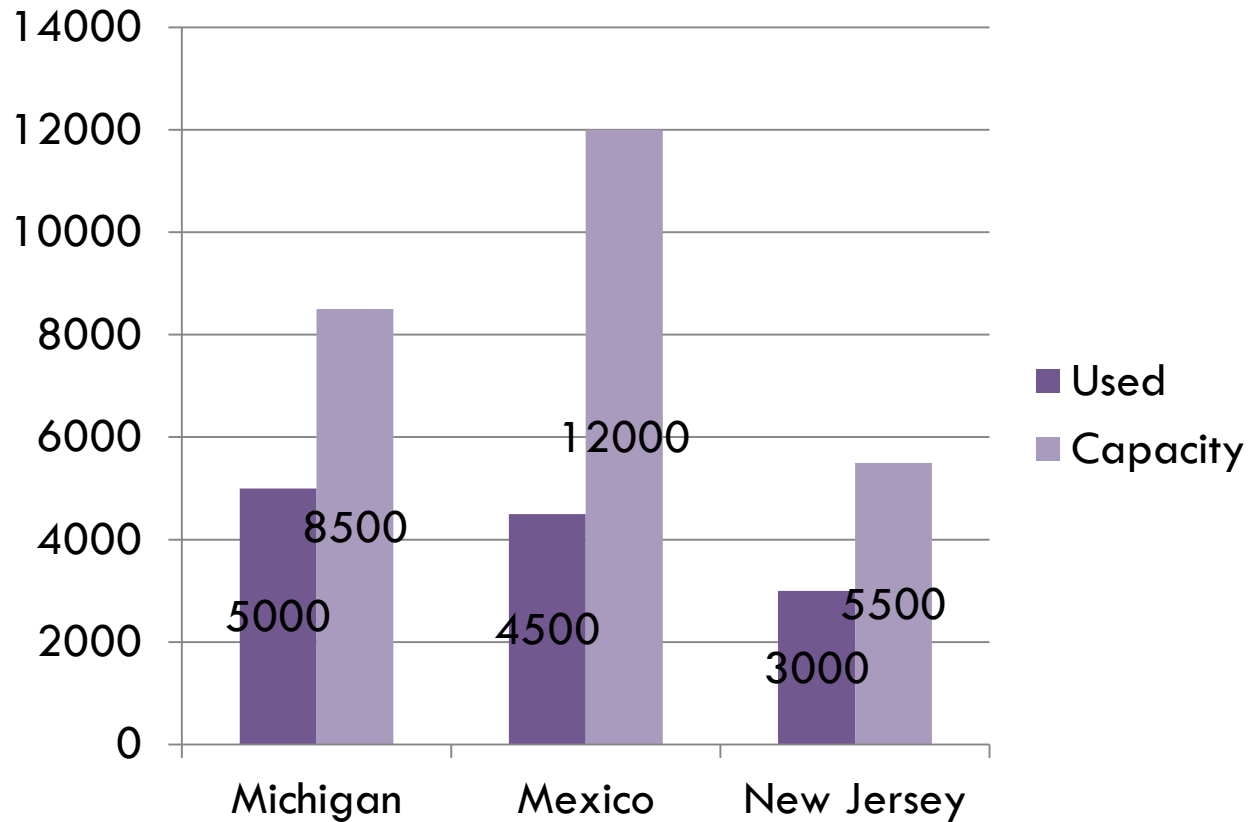
- Provide exhibit #2

Case 14: MF Supplies

Continued... (page 3 of 12)

Exhibit #1

(to be provided to the interviewee as background information)



What is the current capacity utilization? What are the possible improvements and how should we choose which is best?

Case 14: MF Supplies

Continued... (page 4 of 12)

Analysis

(NOT to be shown to the interviewee)

Capacity utilization calculation:

Variables (** - calculation required)	Source/Formula	Calculations
Total production**	(production in Michigan + Mexico + New Jersey)	12,500
Total capacity**	(capacity in Michigan + Mexico + New Jersey)	26,000
Utilization **	(Production/Capacity)	~48%

Key Takeaways:

There are a few ways to increase capacity utilization:

- 1. Combine New Jersey into Michigan**
- 2. Combine either Michigan or New Jersey into Mexico**
- 3. Combine both Michigan and New Jersey into Mexico while reducing the total SKU's produced from 12,500 to 12,000**

Some candidates may also raise the possibility of looking for new production locations that give a better total cost structure

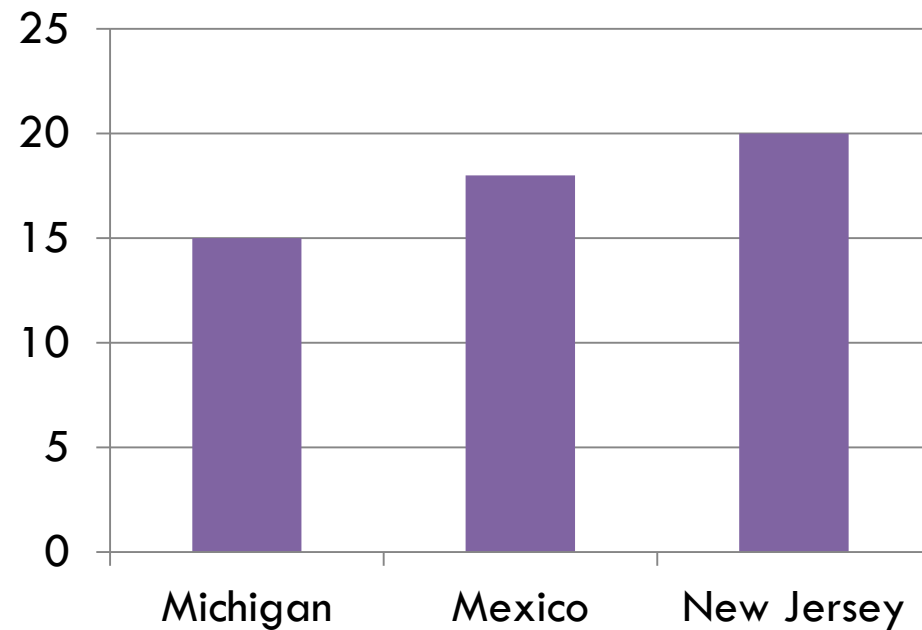
Case 14: MF Supplies

Continued... (page 5 of 12)

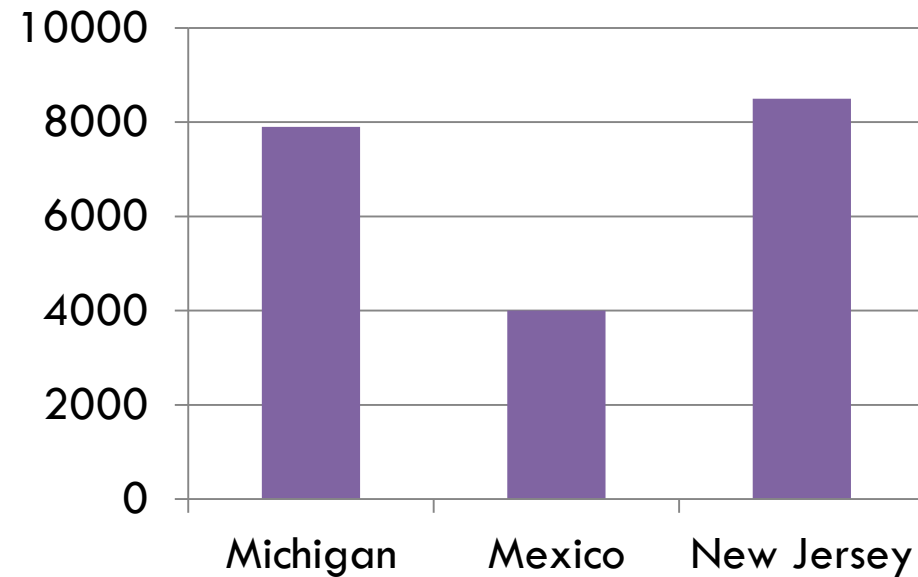
Exhibit #2

(to be provided to the interviewee as background information)

Fixed Annual Costs (\$MM)



Variable Annual Operating Costs (per SKU)



Question

(NOT to be shown to the interviewee)

What conclusions can you draw about Marble Front's fixed and variable costs?

Case 14: MF Supplies

Continued... (page 6 of 12)

Current total expenses:

Variables (** - calculation required)	Source/Formula	Calculations
Production in Michigan	Given	5,000
Annual variable costs per SKU's	Given	7,900
Annual fixed costs	Given	\$15M
Total annual cost (Michigan):	(Fixed + Production*Variable)	\$54.5M
Production in Mexico	Given	4,500
Annual variable costs per SKU's	Given	4,000
Annual fixed costs	Given	\$18M
Total annual cost (Mexico):	(Fixed + Production*Variable)	\$36M
Production in New Jersey	Given	3,000
Annual variable costs per SKU's	Given	8,500
Annual fixed costs	Given	\$20M
Total annual cost (New Jersey):	(Fixed + Production*Variable)	\$45.5M
Total cost:	(Total cost in Michigan + Mexico + New Jersey)	\$136M

Case 14: MF Supplies

Continued... (page 7 of 12)

Question

(NOT to be shown to the interviewee)

What is currently the total expense from running three plants? How much would we save in each of our three scenarios?

Scenario #1 – savings by combining New Jersey into Michigan:

Variables (** - calculation required)	Source/Formula	Calculations
Annual fixed costs in New Jersey	Given	\$20M
Annual variable costs per SKU's in Michigan	Given	\$7,900
Annual variable costs per SKU's in New Jersey	Given	\$8,500
Annual variable cost savings per SKU's:	(Annual variable costs per SKU's in NJ – Annual variable costs per SKU's in Michigan)	\$600
Production in New Jersey	Given	3,000
Total savings:	(Annual fixed costs in NJ + Production in NJ*Annual variable cost savings)	\$21.8M

Case 14: MF Supplies

Continued... (page 8 of 12)

Scenario #2a – savings by combining Michigan into Mexico:

Variables (** - calculation required)	Source/Formula	Calculations
Annual fixed costs in Michigan	Given	\$15M
Annual variable costs per SKU's in Mexico	Given	\$4,000
Annual variable costs per SKU's in Michigan	Given	\$7,900
Annual variable cost savings per SKU's:	(Annual variable costs per SKU's in Michigan – Annual variable costs per SKU's in Mexico)	\$3,900
Production in Michigan	Given	5,000
Total savings:	(Annual fixed costs in Michigan + Production in Michigan*Annual variable cost savings)	\$34.5M

Case 14: MF Supplies

Continued... (page 9 of 12)

Scenario #2b – savings by combining New Jersey into Mexico:

Variables (** - calculation required)	Source/Formula	Calculations
Annual fixed costs in New Jersey	Given	\$20M
Annual variable costs per SKU's in Mexico	Given	\$4,000
Annual variable costs per SKU's in New Jersey	Given	\$8,500
Annual variable cost savings per SKU's:	(Annual variable costs per SKU's in NJ – Annual variable costs per SKU's in Mexico)	\$4,500
Production in New Jersey	Given	3,000
Total savings:	(Annual fixed costs in NJ + Production in Michigan*Annual variable cost savings)	\$33.5M

Case 14: MF Supplies

Continued... (page 10 of 12)

Scenario #3 – savings by combining both Michigan and New Jersey into Mexico while reducing the total SKU's produced from 12,500 to 12,000:

Variables (** - calculation required)	Source/Formula	Calculations
Annual fixed costs in Mexico	Given	\$18M
Annual variable costs per SKU's in Mexico	Given	\$4,000
New production in Mexico	(Capacity in Mexico)	12,000
Total annual cost (Mexico):	(Fixed + Production*Variable)	\$66M
Original total annual cost	(calculated before)	\$136M
Total cost savings:	(Original total annual cost – new total annual cost)	\$70M
Original total production	Given	12,500
Production decrease	(Original total production – capacity in Mexico)	500
% of lost revenues	(Production decrease/Original production)	4%
Total revenues	Given	\$475M
Total revenue loss	(Total revenues*% of lost revenues)	\$19M
Total savings:	(Total cost savings – total revenue loss)	\$51M

Case 14: MF Supplies

Continued... (page 11 of 12)

Analysis

(NOT to be shown to the interviewee)

What other costs or revenues might we consider when sizing the opportunity of production consolidation?

- The main issues would be the implementation timeframe and the costs of closing plants. This might require buying out union contracts, taking losses on capital leases, and hiring costs for expanding the Mexico plant
- We might also face public backlash from outsourcing manufacturing jobs to Mexico

How high would closing costs have to be (on a per plant basis) before Scenario #3 is not the best available opportunity? Are there any other disadvantages of Scenario #3?

- If per-plant closing costs exceeded \$16.5M, Scenario #2a would become more profitable than Scenario #3, because the marginal costs of #3 over #2 would be taken into consideration
- Scenario #3 also runs the risk of making expansion impossible, while Scenario #2a leaves some excess capacity and therefore Marble Front would be better positioned to take advantage of any unexpected demand growth

Scenario	Total annual savings
#1	\$21.8M
#2a	\$34.5M
#2b	\$33.5M
#3	\$49M

Case 14: MF Supplies

Continued... (page 12 of 12)

Case Closing

Recommendation

- Combining Michigan and New Jersey into Mexico, while reducing the total SKU's produced from 12,500 to 12,000, the total capacity in Mexico, will result in the highest total savings for Marble Front (\$49M, after considering the appropriate decrease in revenues)

Risks

- In using the full capacity of the factory in Mexico, any expansion plans in case of any unexpected demand growth become impossible
- If the costs for closing the plant in New Jersey exceeded \$14.5M, it would make more sense for Marble Front to combine only Michigan into Mexico, which will result in \$34.5M cost savings

Case 15: Skin Care Market (Deloitte)



- Interviewer Led
- New Market Entry
- Cosmetics



Easy
Normal
Hard

Case Prompt

(to be read to the candidate)

Our client is a \$5 Billion private European manufacturer of medicinal products. The client licenses new medicines from research companies and sells their products through both traditional European wholesale distributors as well as direct contracts with European hospitals that allow them to cross-sell their products and expand their product footprint.

The client's existing manufacturing footprint is in urban locations close to their customers resulting in higher overhead costs compared to the competition. However, they are able to command a price premium in this market due to high quality products, excellent service, and speed to market. They currently own 10% of the European market, a highly fragmented, but growing industry.

They have an aggressive growth target of doubling their top line within the next 5 years and are thinking about entering a new market, consumer skin care, due to the following attractive characteristics:

- Wide array of products treating acne, hair loss, wrinkles, infections, fungus, psoriasis, and oily skin.
- Highly fragmented, \$30B global market with Lotions, Ointments, and Creams making up 80% of the products.
- Two major channels i) Physician prescriptions (sold through pharmacies) and ii) Over-the-Counter (sold through retail outlets).
- Significant convergence with more products being sold over-the-counter placing pricing pressure on prescription products in an already low-margin business.

Your team has been called in and asked to lead our client through the analysis and decision processes of how best to proceed with this decision.

Case 15: Skin Care Market (Deloitte)

Continued... (page 2 of 6)

Question #1

What factors should they consider in deciding whether to enter the European Consumer Skin Care market?

[Interviewer Note: Provide Data Sheet after question 1].

Sample Response

A good answer will demonstrate the candidate's understanding of market attractiveness. This would include things such as fragmentation of competition, size and growth of the market, customer options (e.g. substitutes and product differentiation) and purchasing power, and regulatory considerations (e.g. prescription coverage, etc.).

A great answer will also examine how this market fits with the company's capabilities and strategy. Is the market large enough to get them closer to their goal of doubling top line growth in the next 5 years (\$5 -> \$10B)? Are the products similar enough to be considered a core competency or is this completely new? Is there existing manufacturing capacity or will they need to build? Have they considered alternative growth options that could be more in-line with their existing strategy.

They should also consider the implications of entering a low-margin business when their existing product portfolio commands price premiums. Are they willing to trade-off top-line growth for lower profit margins?

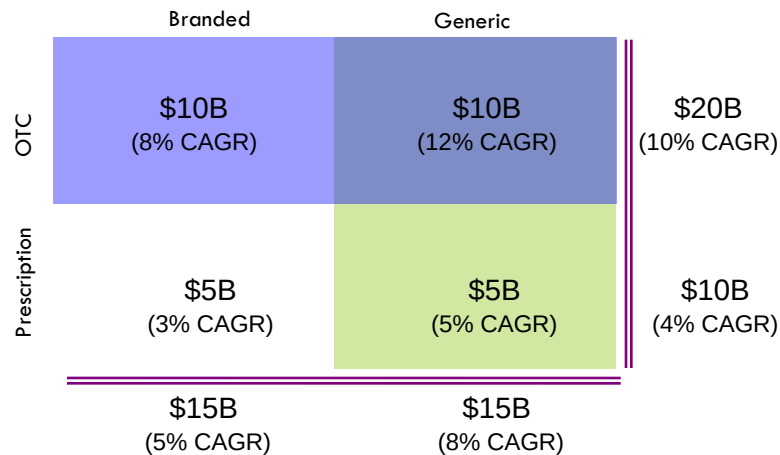
Case 15: Skin Care Market (Deloitte)

Continued... (page 3 of 6)

Data Sheet

(to be handed to the candidate after Question #1)

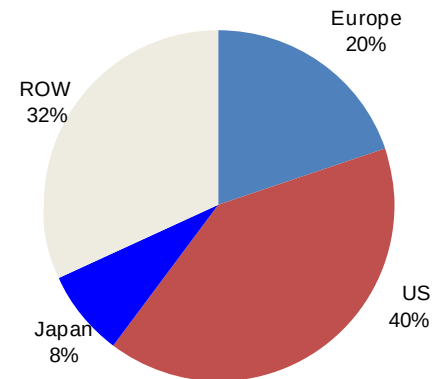
Global Skin Care Market = \$30B
(7% CAGR)



Basis of Competition

	Branded	Generic
OTC	- Efficacy - Brand Recognition - Marketing	- Price - Product line breadth - Services/ unique packaging
Prescription	- Efficacy - Physician Relationships - Speed to Market	- Price - Reliability - Specialization (unique attributes)

Global Skin Care Market Share (\$30B)



Global Skin Care Market Characteristics

	Growth Rate	Characteristics
Europe	5%	- OTC competing with prescriptions - Highest margins
US	10%	- OTC competing with prescriptions - Industry consolidation; declining margins
Japan	(2%)	- Low population growth - High barriers to entry
Emerging	30%	- Highly Price Sensitive - Low Margins

Case 15: Skin Care Market (Deloitte)

Continued... (page 4 of 6)

Question #2

Based on the client background and Data Sheet provided, how would you advise the client in developing a European channel strategy (Prescription, OTC, or Both?) and product strategy (Branded or Generic) ?

Sample Response

A good answer would take into account the characteristics of each channel (size, growth rates, basis of competition) as well as the client's strengths (strong physician relationships, brand quality, speed to market) to determine the pros and cons of each option. For example, it is expensive to build brands (advertising, marketing, etc.) and with the convergence of OTC and Prescription putting pricing pressures on Prescription, they should consider whether branded products will continue to command a premium.

A great answer would also use information from the Data Sheet to make a hypothesis. For example, the client's high manufacturing costs (as mentioned in the case) would make it difficult for them to compete in the generic/Private Label market even though this is a growing area. If growth was strong enough, it may be worth exploring moving manufacturing facilities to lower cost areas. However, this could impact their physician relationships.

They should also consider the goal of doubling revenue in the next 5 years and which channels will help to achieve that goal. While the branded prescription market may fit their existing capabilities, it is the smallest and slowest growing market. OTC on the other hand, may better support their top line goals

Case 15: Skin Care Market (Deloitte)

Continued... (page 5 of 6)

Question #3

Given the client's current capabilities and aggressive growth target, if they decide to enter this market, what factors should drive their decision to explore other Geographic markets versus staying in Europe?

Sample Response

A good answer would point out that Europe is a small portion of the Global Market (20%) with stagnated growth (5%) while the US makes up 40% of the market with a 10% growth rate. They may also consider the fact that the larger size, higher growth markets (US and Emerging) also have the lowest margins which may not play into their higher cost model. Other considerations are barriers to entry, competition in each country, and the increased cost and complexity of distributing product overseas.

A great answer will also point out that Europe is only 20% of the \$30B industry (\$6B), broken into four channels. Even if they owned the entire Generic OTC market (which is the largest channel), assuming the geographical proportions hold across channels, they would have 20% of a \$10B market (\$2B) which doesn't even get them to half of their growth target. This would tell you that you would need to be a significant global player to come even close to your goals or at least pursue additional opportunities simultaneously.

Case 15: Skin Care Market (Deloitte)

Continued... (page 6 of 6)

Question #4

With the limited information and data available about the client and the consumer skin care industry, do you think expansion into this market is a good idea?

Sample Response

A good answer would defend a single position one way or the other. They might take into consideration that this is a highly fragmented market with relatively strong growth (7% CAGR) and which will provide them with the opportunity to break into larger markets in other geographic regions once they get a foothold in Europe. The products seem to align with the manufacturing capabilities (lotions, ointments, and creams) and sales channels (Physicians). On the other hand, they might indicate that this is not an attractive market because their current capabilities are best at Branded Prescriptions, which is the smallest and slowest growing part of the industry. As a result, it will not help them achieve their revenue targets in any significant way. Or they may point out that this is a lower margin business which will lower overall profit margins.

A great answer would weigh both the pros and the cons before taking a position. They may also ask what the alternative investment options are. They currently enjoy good margins as a large player in a fragmented industry. Should they explore more options there?

Case 16: Great Burger (McKinsey)



- Interviewer Led
- Acquisition
- Fast Food



Easy
Normal
Hard

Case Prompt

(to be read to the candidate)

Let's assume our client is Great Burger (GB) a fast food chain that competes head-to-head with McDonald's, Wendy's, Burger King, KFC, etc. GB is the fourth largest fast food chain worldwide, measured by the number of stores in operation. As most of its competitors do, GB offers food and "combos" for the three largest meal occasions: breakfast, lunch and dinner. Even though GB owns some of its stores, it operates under the franchising business model with 85% of its stores owned by franchisees (individuals own & manage stores and pay a franchise fee to GB, but major business decisions e.g. menu, look of store, are controlled by GB).

As part of its growth strategy GB has analyzed some potential acquisition targets including Heavenly Donuts (HD), a growing doughnut producer with both a US and international store presence. HD operates under the franchising business model too, though a little bit differently than GB. While GB franchises restaurants, HD franchises areas or regions in which the franchisee is required to open a certain number of stores.

GB's CEO has hired McKinsey to advise him on whether they should acquire HD or not.

Interviewer Guide

Before proceeding with the case, ask the candidate if they have any questions or need the above information repeated or clarified.

Case 16: Great Burger (McKinsey)

Continued... (page 2 of 9)

Question #1

What areas would you want to explore to determine whether GB should acquire HD?

Sample Response

Stand alone value of HD

- Growth in market for doughnuts
- HD's past and projected future sales growth (break down into growth in number of stores, and growth in same store sales)
- Competition – are there any other major national chains that are doing better than HD in terms of growth/profit. What does this imply for future growth?
- Profitability/profit margin
- Capital required to fund growth (capital investment to open new stores, working capital)

Management team/cultural fit

- Capabilities/skills of top, middle management
- Cultural fit, if very different, what % of key management would likely be able to adjust

Synergies/strategic fit

- Brand quality similar? Would they enhance or detract from each other if marketed side by side?
- How much overlap of customer base? (very little overlap might cause concern that brands are not compatible, too much might imply little room to expand sales by cross-marketing)
- Synergies (*Note to assessor: do not let candidate dive deep on this, as it will be covered later*)

Ability to execute merger/combine companies

- GB experience with mergers in past/experience in integrating companies
- Franchise structure differences. Detail “dive” into franchising structures. Would these different structures affect the deal? Can we manage two different franchising structures at the same time?

Case 16: Great Burger (McKinsey)

Continued... (page 3 of 9)

Question #2

The team started thinking about potential synergies that could be achieved by acquiring HD. Here are some key facts on GB and HD.

Note to assessor: show candidate Exhibit 1 (on next page).

What potential synergies can you think of between GB and HD?

Sample Response

Lower costs

- Biggest opportunity likely in corporate SG&A by integrating corporate management
- May be some opportunity to lower food costs with larger purchasing volume on similar food items (e.g., beverages, deep frying oil), however overlaps may be low as ingredients are very different
- GB appears to have an advantage in property and equipment costs which might be leverage-able to HD (e.g., superior skills in lease negotiation)

Increase revenues

- Sell doughnuts in GB stores, or some selected GB products in HD stores
- GB has much greater international presence thus likely has knowledge/skills to enable HD to expand outside of North America
- GB may have superior skills in identifying attractive locations for stores as its sales/store are higher than industry average, where as HD's is lower than industry average – might be able to leverage this when opening new HD stores to increase HD average sales/store
- Expand HD faster than it could do on own – GB as a larger company with lower debt may have better access to capital

Case 16: Great Burger (McKinsey)

Continued... (page 4 of 9)

Exhibit 1

Stores	GB	HD
Total	5,000	1,020
- North America	3,500	1,000
- Europe	1,000	20
- Asia	400	0
- Other	100	0
Annual Growth in Stores	10%	15%

Financials	GB	HD
Total store sales	\$5,500M	\$700M
Parent company revenues	\$1,900M	\$200M
Key expenses (% sales)		
– Cost of sales *	51%	40%
– Restaurant operating costs	24%	26%
– Restaurant property & equipment costs	4.6%	8.5%
– Corporate general & administrative costs	8%	15%
Profit as % of sales	6.3%	4.9%
Sales/store	\$1.1M	\$0.7M
Industry average	\$0.9M	\$0.8M

* Variable costs, mostly food costs

Case 16: Great Burger (McKinsey)

Continued... (page 5 of 9)

Question #3

The team thinks that with synergies, it should be possible to double HD's US market share in the next 5 years, and that GB's access to capital will allow it to expand number HD of stores by 2.5 times. What sales/store will HD require in 5 years in order for GB to achieve these goals? You should assume:

- Doughnut consumption/capita in the US is \$10/year today, and is projected to grow to \$20/year in 5 years
- For ease of calculation, assume US population is 300 M
- Use any data from Exhibit 1 you need

Sample Response

Variable	Source (given in case unless stated)	Value
HD sales	Exhibit 1	\$700M
US market	(Consumption per capita) x (population)	\$3B
HD market share	(HD sales) / (US market)	23%
<i>Note to assessor: At this stage, tell the candidate to round to 25% for the sake of simplicity</i>		
US market in 5 years	(Projected consumption per capita) x (population)	\$6B
HD sales in 5 years if double market share	(Current share, calculated as 25%) x (double) x (US market in 5 years)	\$3B
# of stores in 5 years	(Current # stores from Exhibit 1) x (2.5)	2,500
Sales/store in 5 years	(HD sales in 5 years) / (new number of stores:)	\$1.2M

Note to assessor - an optional probing question is to ask:

- Does this seem reasonable?
- A good response would be:
Yes, given it implies less than double same store sales growth and per capita consumption is predicted to double

Case 16: Great Burger (McKinsey)

Continued... (page 6 of 9)

Question #4

One of the synergies that the team thinks might have a big potential is the idea of increasing the businesses' overall profitability by selling doughnuts in GB stores. How would you assess the profitability impact of this synergy?

Sample Response

Basic profitability analysis

- Calculate incremental revenues by selling doughnuts in GB stores (calculate how many doughnuts per store, times price per doughnut, times number of GB stores)
- Calculate incremental costs by selling doughnuts in GB stores (costs of production, incremental number of employees, employee training, software changes, incremental marketing and advertising, incremental cost of distribution if we can not produce doughnuts in house, etc.)
- Calculate incremental investments. Do we need more space in each store if we think we are going to attract new customers? Do we need to invest in store layout to have in house doughnut production?
- Other reasonable answers are acceptable

Cannibalization

- If the candidate dives deep in the incremental revenue piece by taking into account cannibalization, what would be the rate of cannibalization with GB offerings? Doughnut cannibalization will be higher with breakfast products than lunch and dinner products, etc.
- One way to calculate this cannibalization is to look at historic cannibalization rates with new product/offering launchings within GB stores
- Might also cannibalize other HD stores if they are nearby GB stores – could estimate this impact by seeing historical change in HD's sales when competitor doughnut store opens near by
- Other reasonable approaches to calculating cannibalization are acceptable

Case 16: Great Burger (McKinsey)

Continued... (page 7 of 9)

Question #5

Note to assessor: Only do this question if you feel you did not get a good read with the first quantitative question, or if you have ample time left for the case. If you skip this question, tell the candidate the following: The team has calculated that the incremental profit per GB store from selling HD doughnuts would be \$15K.

What would be the incremental profit per store if we think we are going to sell 50 thousand doughnuts per store at a price of \$2 per doughnut at a 60% margin with a cannibalization rate of 10% of GB's sales? *Note to assessor: show candidate Exhibit 2 (on the following page). Also, if necessary, explain the "Cannibalization Rate" to the candidate.*

Sample Response

Incremental profit	= contribution from HD sales less contribution lost due to cannibalized GB sales
	= 50K units x \$2/unit x 60% margin – 300K units x 10% cannibalization x \$3/unit x 50% margin
	= \$60K – 45K
	= 5K incremental profit/store

Case 16: Great Burger (McKinsey)

Continued... (page 8 of 9)

Exhibit 2

Sales and Profitability per store	
Units of GB sold per store	300,000
Sales price per unit	\$3
Margin	50%
Units of HD sold in GB stores	50,000
Sales price per unit	\$2
Margin	60%
Cannibalization Rate of HD products to GB products	10%

Case 16: Great Burger (McKinsey)

Continued... (page 9 of 9)

Question #6 (Synthesis)

You run into the CEO of GB in the hall. He asks you to summarize McKinsey's perspective so far on whether GB should acquire HD. Pretend I am the CEO - What would you say?

Sample Response

- *Note to assessor: This is an example response. Good answers may vary, depending on answers candidate gave in questions 1-4, and whether or not they completed all previous questions.*
- Early findings lead us to believe acquiring HD would create significant value for GB, and that GB should acquire HD
 - We believe it is possible to add \$15k in profit/GB store by selling HD in GB stores. This could mean \$50 million in incremental profit for North American stores (where immediate synergies are most likely given HD has little brand presence in rest of world.
 - We also believe there are other potential revenue and cost synergies that the team still needs to quantify
- Once the team has quantified the incremental revenues, cost savings, and investments, we will make a recommendation on the price you should be willing to pay
- We will also give you recommendations on what it will take to integrate the two companies in order to capture the potential revenue and cost savings, and also to manage the different franchise structures and potentially different cultures of GB and HD

Case 17: Global Cosmetics Company (Capgemini)



- Interviewer Led
- Turnaround
- Cosmetics



Easy
Normal
Hard

Case Prompt

(to be read to the candidate)

The client is the North American CEO of a global personal and home care products company. He has hired Capgemini Consulting to turn around the North American business from loss to profitability within two years. We've scheduled the final presentation with the board this afternoon, but the project team is stranded at an airport unable to make the presentation. You are asked to step in and make the presentation instead.

Interviewer Guide

- *Please review the case and familiarize yourself completely with it*
- *There is flexibility to bring in your knowledge of the industry/ sector*
- *The specifics of the case should be modified depending on the interview round – and whether it is a campus or experienced hire interview*
- *The case can be given additional level of detail to test for fit with a practice*
- *It is important to be consistent across interviews*
- *Be prepared to challenge the answer – it is the candidate's approach to the case that matters*
- *Broadly, the candidate is being evaluated on the following:*
 - *Framework/ structure being used to tackle the issue at hand*
 - *Quantitative ability, demonstrated through work on quantitative questions, understanding of data sets, etc.*
 - *Ability to formulate a working hypothesis (if applicable) that gets to the heart of the issue*
 - *Ability to synthesize issues and take a stand on the recommendations*
- *The key case question/s have been divided into smaller sub-issues. The duration of the exercises is indicative only*

Case 17: Global Cosmetics Company (Capgemini)

Continued... (page 2 of 12)

Information

(to be provided when requested by the candidate)

Internal Analysis

Revenue Streams: Existing & new products

Cost Drivers: R&D, manufacturing, operations

Other considerations: Supply chain, channel strategy, financial situation, org structure, core competencies

Industry Analysis

Competitors: Who are the main competitors? To what customer segments do they cater?

Industry Rivalry: How intense is the rivalry in the cosmetics industry? Is any segment of the industry more competitive than other? Are there any specific trends in industry rivalry (consolidation, price wars, etc.)?

Retailers: Through what retail channels are the products sold? What is their relative power position?

Customer Analysis

Consumers: What are the different consumer segments and what are their relative sizes? Who are the client's main consumers? How saturated is that segment?

Trends: Are consumer tastes changing towards or away from the client's products?

Case 17: Global Cosmetics Company (Capgemini)

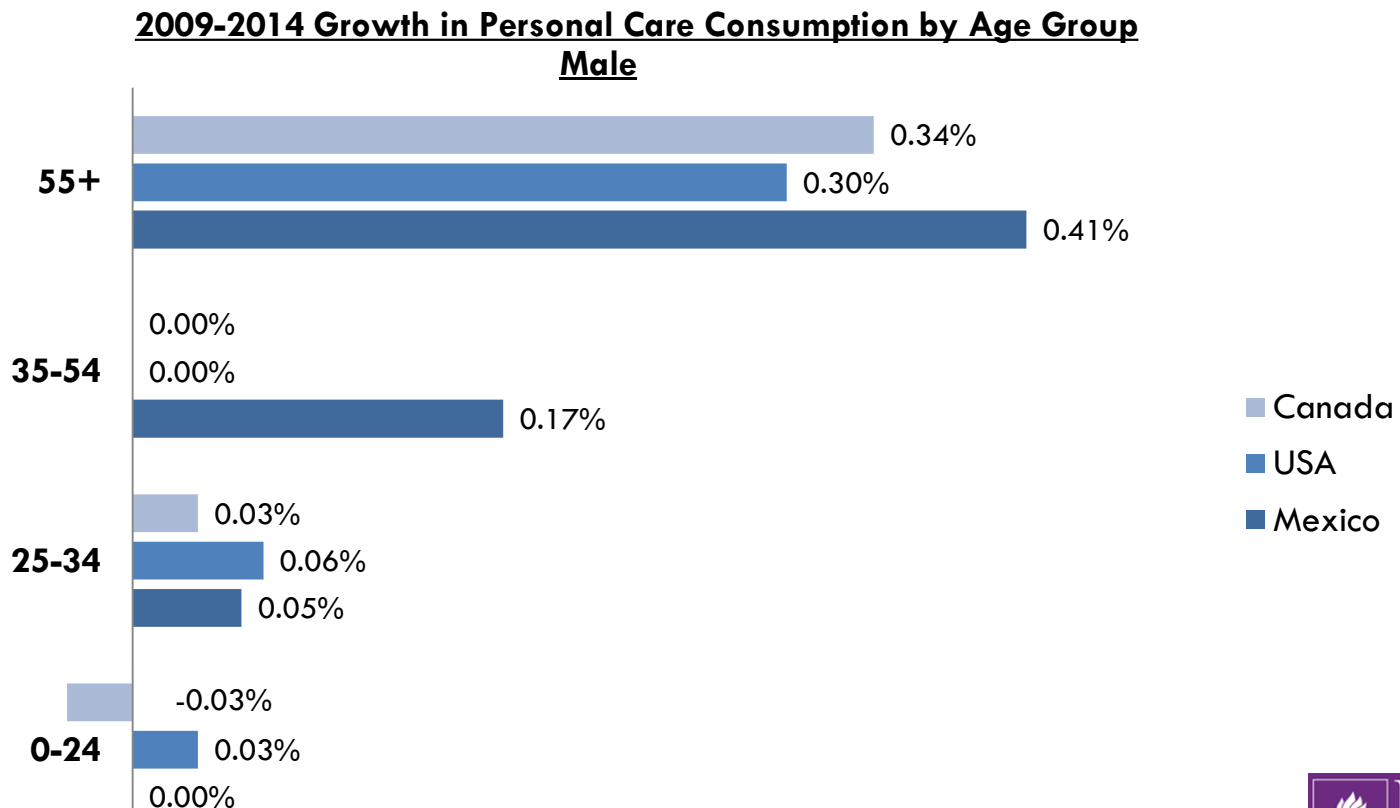
Continued... (page 3 of 12)

Question #1

You have come up with a good structure to approach the problem. I'm going to give you 3 charts and ask you to take a few minutes to assess and digest the information, then ask you for your observations and analysis.

Exhibit #1

(to be provided to the interviewee as background information)

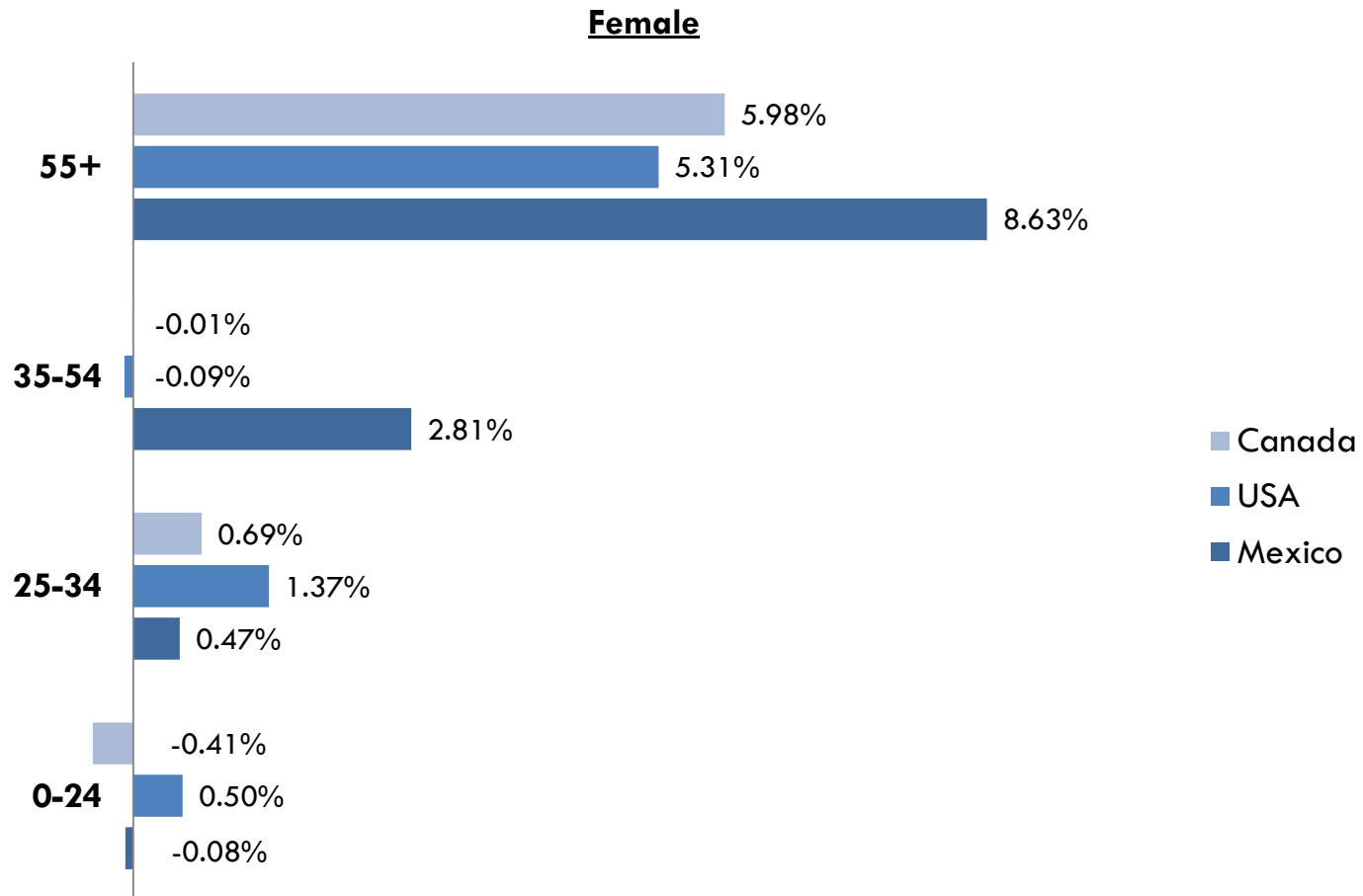


Case 17: Global Cosmetics Company (Capgemini)

Continued... (page 4 of 12)

Exhibit #1

(to be provided to the interviewee as background information)



Case 17: Global Cosmetics Company (Capgemini)

Continued... (page 5 of 12)

Sample Response

- Women represent the lion's share of consumption in personal care products across all three regions
- Male consumption will remain small although the 55+ age group will exhibit stronger growth than other male age groups
- Female Baby Boomers (born between 1945 to 1965) represent the major source of growth, generating 8.63%, 5.31% and 5.98% in growth for Mexico, USA and Canada respectively
- Baby Boomers drive growth by virtue of their sheer numbers and also by their high spending powers through wealth accumulation and inheritance
- Generation Xers (those born between 1965-1985) are underrepresented in terms of spending due to their relatively small numbers, with the exception being Mexico, which has a larger population growth between 1965-85 compared with Canada and the US
- Echo Boomers (those born between 1985-1995) will play a greater role beyond 2010 but in the short term they should be watched carefully as a consumption group

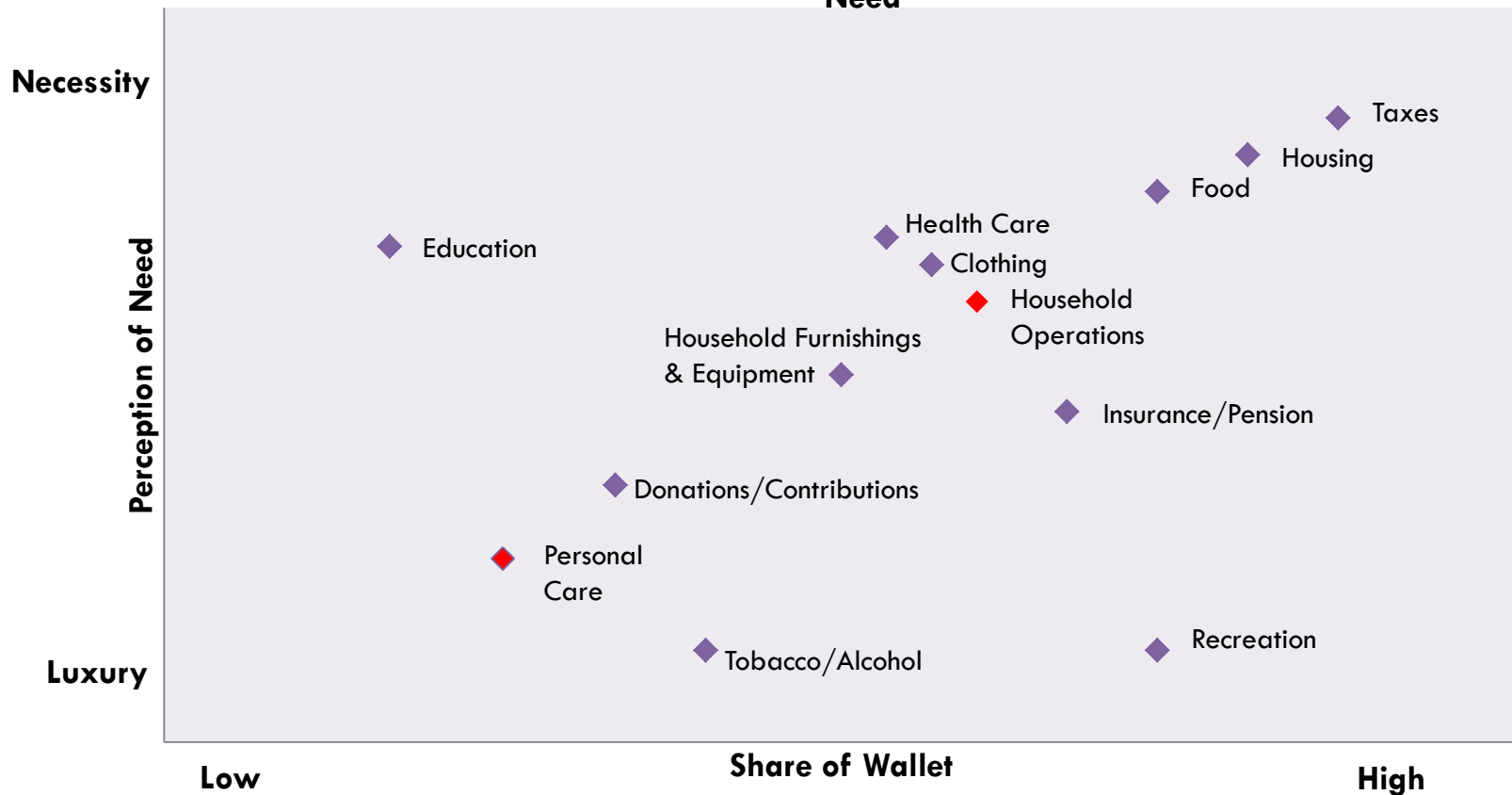
Case 17: Global Cosmetics Company (Capgemini)

Continued... (page 6 of 12)

Exhibit #2

(to be provided to the interviewee as background information)

Ranking Major Household Spending Categories by Share of Wallet and Perception of Need



Case 17: Global Cosmetics Company (Capgemini)

Continued... (page 7 of 12)

Sample Response

- A direct co-relationship exists between share of wallet and consumer perception of need
- Generally speaking, the more a spending category is perceived as a necessity, the larger the spending category represents in terms of share of wallet
- According to the latest census data in Canada, Household Products and Personal Care represent 4.5% and 1.7% of share of wallet respectively
- Taxes, housing and food consume the largest share of wallet
- From a marketing perspective, the ability to move a product category up the necessity axis is essential to capture larger shares of wallet

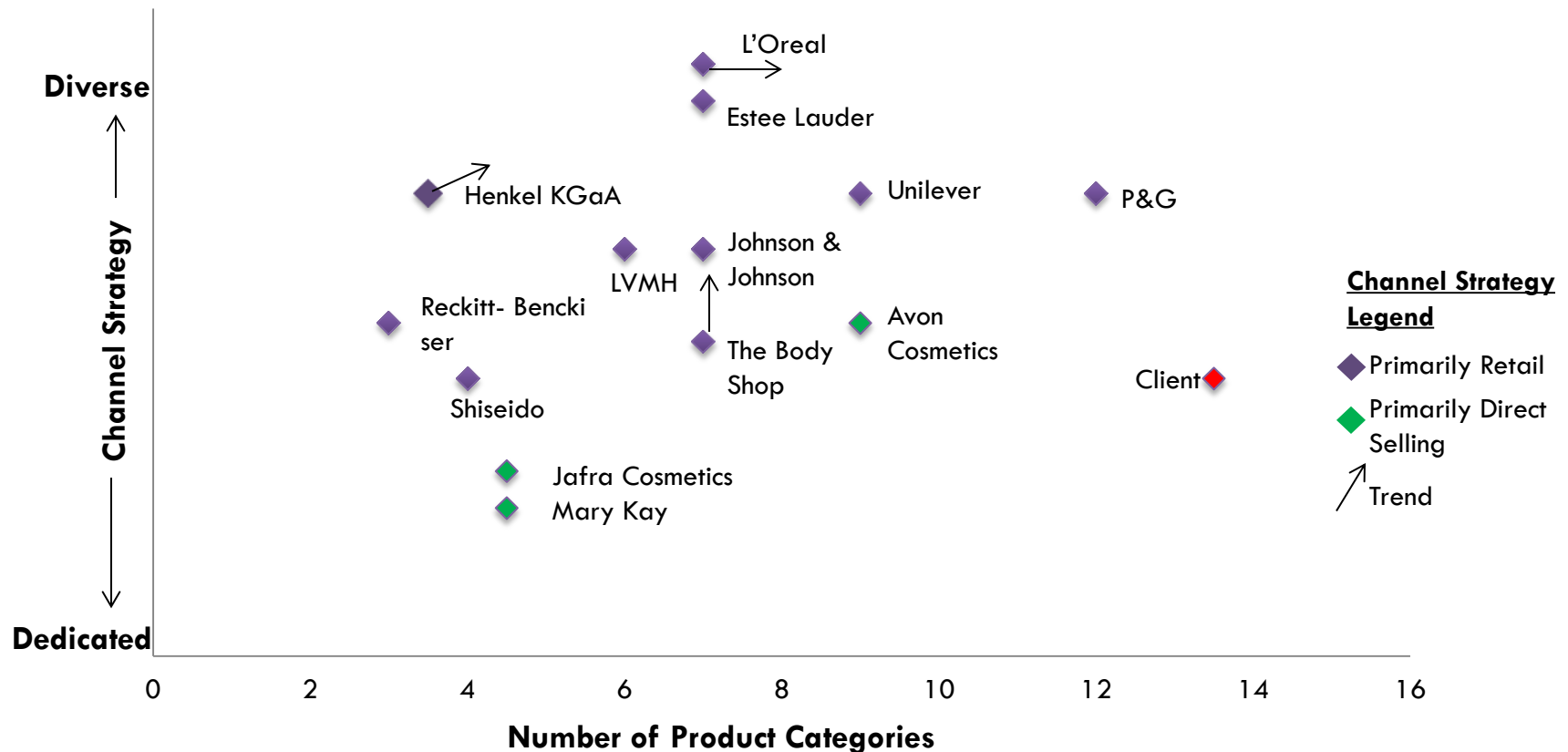
Case 17: Global Cosmetics Company (Capgemini)

Continued... (page 8 of 12)

Exhibit #3

(to be provided to the interviewee as background information)

Product-Channel Strategy Map



Case 17: Global Cosmetics Company (Capgemini)

Continued... (page 9 of 12)

Sample Response

- Companies that have dedicated channel strategies tend to focus primarily on Direct Selling. Often this is a result of the desire for maximum consumer interaction when a company must choose a primary distribution channel
- There is a trend for companies to diversify, both in terms of product categories and channel strategies. This diversification is the result of different products requiring distinct channels and placements
- Competitors who use a diverse channel strategy employ a wide variety of distribution channels. For example: Estee Lauder sells their products in prestigious retail store, company-run salons and brand websites
- Competitors who have a dedicated channel strategy use a primary channel to convey their products to consumers. For example: The Body Shop's main customer-facing channel is their network of over 2,000 stores worldwide, however they also have a web channel in North America and a direct selling force

Case 17: Global Cosmetics Company (Capgemini)

Continued... (page 10 of 12)

Question #2

OK, you have those 3 pieces of data that you can take to the CEO, but what other considerations should you inform the CEO need further analysis? Make a list of these considerations.

Sample Response

- In-house manufacturing or Outsource:
 - Pros and cons
 - Key constraints and criteria to consider
 - Competitor's actions regarding the same
- Customer:
 - Impact of country of origin on customer perception relating to marketing and brand strategy
- Location:
 - Does our distribution network design support future growth considering all costs?
 - What distance span will optimize service and costs
- Costs:
 - Differences in costs between various suppliers – both in-house and outsourced
 - Does the organization have a standardized measure of cost that is uniform across regions to enable meaningful comparison of costs?
 - Consistency in applying accounting formulae across the group
 - Duplicate costs?
 - Impact of asset under-utilization on total delivered costs formula?
 - Does client have the means to measure the cost of distribution consistently across regions?
 - Do we take into consideration the total delivered cost in our current network design?
 - What other costs should we include?

Case 17: Global Cosmetics Company (Capgemini)

Continued... (page 11 of 12)

Sample Response (cont..)

- Decision Making Process:
 - What is the current state decision making process with regards to Make/Buy considerations?
 - What should be the decision making process?
 - Who is responsible and accountable for Make/Buy decisions?
- Scalability:
 - How will distribution centers scale up based on growth projections?
 - How many distribution centers will be required?
 - What is the optimal range per distribution center?
- Information:
 - Does client have the necessary information infrastructure to measure enterprise-wide operational indicators such as inventory levels, costs, services levels, etc.?
 - Is this information accessible across the organization and is this information updated in realtime?
 - Is this information comparable across regions?

Case 17: Global Cosmetics Company (Capgemini)

Continued... (page 12 of 12)

Sample Conclusions & Recommendations

Recommendations

- The client should focus on women who comprise lion's share of consumption but should not ignore growth in the 55+ male group. Particularly among women, there are geographic differences within the North America region that must be taken into consideration.
- The client should develop deep knowledge of customer needs , perception and spending patterns in order to capture an increased share of the wallet. Capturing an increased share of the wallet is critical for driving long-term, sustainable growth.
- Client is misplaced in terms of its channel strategy. Given its large number of product categories, it should have a more diverse distribution channel

Risks

- The market may not continue growing at the same rate as predicted or may enter a period of decline
- Threat of substitute products and changing customer trends can make the client's products less 'necessary'

Other

- Ensure product strategy is geared towards appropriate customer segments
- Research customer needs to capture larger shares of wallet
- Investigate options for diversifying distribution channels in an efficient manner with thorough cost-benefit analysis